

27th

Annual Report

2015-2016



Jaipur Hospital

**A UNIT OF
SHARMA EAST INDIA HOSPITALS
& MEDICAL RESEARCH LIMITED**

BOARD OF DIRECTORS

Managing Director	Dr. Shailendra Sharma
Directors	Dr. Karan Sharma
	Mrs. Maya Sharma
	Mr. Subhash Chand Jain
	Mr. Madhur Krishna Khaitan
	Mrs. Avani Agarwal
Chief Financial Officer	Mr. Vimal Kumar Joshi
Company Secretary	Mr. Shiv Shankar Sharma
Auditors	M/S Gopal Sharma & Company, Chartered Accountants, 302, Ocean Apartments, Kanti Chand Road, Bani Park, Jaipur.
Bankers	PNB, SBBJ and SBI
Registered Office	Jaipur Hospital, Lal Kothi, Near S.M.S. Stadium Tonk Road, Jaipur-302015 Phone: 2742557, 2742817 Website: www.jaipurhospital.co.in Email: jaipurhospital_lalkothi@rediffmail.com
Registrar and Transfer Agents	M/s Beetal Financial & Computer Services P. Ltd Beetal House, 3rd Floor, 99, Madangir, Behind Local Shopping Centre, Near Dada Harshukh Das Mandir, New Delhi-110062

27th Annual General Meeting

SATURDAY THE 24TH SEPTEMBER, 2016
AT SHARMA AGRICULTURE FARM
TAKIA KI CHOWKI, KALWAD ROAD,
JHOTWARA, JAIPUR
AT 3.00 PM

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Major Achievements of the Company:-

1. The first assessment of the company was conducted by National Accreditation Board for Hospitals and Health Care Providers (NABH), NABH accreditation system is one of the methods for commitment to quality enhancement throughout whole of the health care system in India. It involves all professional and service groups to ensure that high quality in health care is achieved, while minimizing the inherent risks associated with modern health care delivery. NABH accreditation will be a scarce jewel for the Company.
2. Performance of the organization against the stated mission is achieved by the increase in number of patients and number of surgeries from the last year and the organization also started the treatment of Chief Minister Relief Funds patients.
3. After the new approvals now company is empanelled with various Institutions and TPAs namely, Jaipur Development Authority (JDA), Med save Health Care Limited, MD India Healthcare Services (TPA) (P) Ltd., Medicare TPA Services (I) Pvt. Ltd., Rajasthan Rajya Sahakari Bhoomi Vikas Bank Limited, Rajasthan State Pollution Control Board, Central

Institute of Plastics Eng. & Technology, Mecon Limited, National Textile Corporation (Delhi, Punjab, & Raj.)Ltd., Rajasthan Tours Pvt. Ltd, Central Sheep &Wool Research Institute, Central Bank of India, The Bank Officers'(Retired)Association, Rajasthan Sanskrit University, ITC Limited, Parivar Seva Sanstha, Hotel Jaipur Ashok, University of Rajasthan, Ashok Club, Airport Authority Of India, Hexacom India Limited, Dedicated Healthcare Services TPA (P) Ltd., Rashtriya Chemical & Fertilizers Limited, Rajasthan State Cooperative Marketing Federation Limited (RAJFED), Rajasthan State Mines & Minerals Limited, Tata Memorial Center Hospital (Tissue Bank), National Fertilizers Limited, Employees' State Insurance Corporation, Programs The Smile Train, Rajasthan State Industrial Development & Investment Corporation Limited (RIICO), Food Corporation of India (FCI), Hindustan Petroleum Corporation Ltd, The Bank of Rajasthan Limited, Housing & Urban Development Co. Ltd , Ex-Servicemen Contributory Health Scheme (ECHS), The General manager Claim Dept. (RAJCOMP), Central Government Health Scheme, Rajasthan State Road Development & Construction Corporation Limited, Rajasthan Tourism Development Corporation Limited (RTDC), Alankit Health Care Limited, Rajasthan State Seeds Corporation Limited, Family Health Plan Ltd., Rajasthan Energy Development Agency, Raksha TPA Pvt. Ltd., Rajasthan State Ware House Corporation, UCO Bank, Rajasthan Cooperative Dairy Federation Ltd., State Bank Of India, Rastriya Ispat Nigam Limited, State Bank of Bikaner & Jaipur, Paramount Health Services (P) Limited, Reserve Bank Of India, E-Meditek TPA Services Limited, Bank of India.

NOTICE :

Notice is hereby given that the 27th Annual General Meeting (AGM) of the members of Sharma East India Hospitals & Medical Research Limited will be held as per the schedule below:

Date : 24th September, 2016
Day : Saturday
Time : 3.00 P.M.
Place : Sharma Agricultural Farm, Takia Ki Chowki,
Kalwad Road, Jhotwara, Jaipur

To transact the following business:

ORDINARY BUSINESS:

1. To consider and adopt the Audited Financial Statements of the Company for the financial year ended March 31, 2016 and the Reports of the Directors and the Auditors thereon.
2. To appoint a Director in place of Mrs. Maya Sharma (DIN: 00432496) who retires by rotation and being eligible, offers herself for re-appointment and if thought fit, to pass a resolution as an Ordinary Resolution.

"RESOLVED THAT pursuant to provisions of Section 149 and 152 of the Companies Act, 2013, Mrs. Maya Sharma (DIN: 00432496), who retires by rotation and being eligible, offers herself for re-appointment, be and is hereby re-appointed as a director of the Company, liable to retire by rotation"

3. Appointment of Auditors

To ratify the appointment of the auditors of the Company, and to fix their remuneration and to pass with or without modification(s), the following resolution as an Ordinary resolution:

"RESOLVED THAT pursuant to provisions of Sec. 139, 142 and other applicable provisions, if any, of the Companies Act, 2013 and the Rules framed thereunder, as amended from time to time, and pursuant to the recommendations of the audit committee of the Board of Directors and pursuant to the resolution passed by the members at the 25th AGM held on 24 September 2014. The appointment of M/s Gopal Sharma & Co., Chartered Accountants (Firm Registration No. 002803C) situated at Jaipur, as the Auditors of the company to hold office till the conclusion of the next Annual General Meeting be and is hereby ratified and that the Board of Directors of the Company be and are hereby authorized to fix the remuneration payable to them for the financial year 2016-17 as may be determined by the audit committee in consultation with the auditors and such remuneration may be paid on a progressive billing basis as may be agreed upon between the auditors and Board of Directors.

Date: 10.08.2016

Registered Office

Jaipur Hospital
Lal Kothi, Near S.M.S. Stadium
Tonk Road, Jaipur-302015
CIN:L85110RJ1989PLC005206

BY ORDER OF THE BOARD

Sd/-

**Shiv Shankar Sharma
(COMPANY SECRETARY)**

NOTES:

1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote instead of himself and the proxy need not to be a member of the Company. The instrument appointing the proxy, in order to be effective, must be deposited at the Company's Registered Office, duly completed and signed, not less than FORTY-EIGHT HOURS before the meeting(i.e. on or before 22nd September, 2016) Proxies submitted on behalf of limited companies, societies, etc., must be supported by appropriate resolutions/authority of Board of Directors, as applicable. A person can act as proxy on behalf of Members not exceeding fifty (50) and holding the aggregate not more than 10% of the total share capital of the Company. In case a proxy is proposed to be appointed by a Member holding more than 10% of the total share capital of the Company carrying voting rights, then such proxy shall not act as a proxy for any other person or shareholder.
2. Members / Proxies / Authorised representatives should bring the duly filled Attendance Slip enclosed here with to attend the meeting.
3. The Register of Contracts and Arrangements, in which Directors are interested, maintained under section 189 of the Companies Act, 2013 will be available for inspection by the members at the AGM.
4. The Register of Directors and Key Managerial Personnel and their shareholding maintained under section 170 of the Companies Act, 2013 will be available for inspection by the members at the AGM.
5. During the period beginning 24 hours before the time fixed for the commencement of the meeting and ending with the conclusion of the meeting, a member would be entitled to inspect the proxies lodged at any time during the business hours of the Company, provided that not less than three days notice in writing is given to the Company.
6. The Register of Members and Share Transfer Books of the Company will remain closed from Monday, 19th September, 2016 to Saturday, 24th September, 2016 (both days inclusive).
7. Members holding shares in dematerialized form are requested to intimate all changes pertaining to their bank details, National Electronic Clearing Service (NECS), Electronic Clearing Service (ECS) mandates, nominations, power of attorney, change of address, change of name, e-mail address, contact numbers etc., to their Depository Participant (DP), changes intimated to the DP will then be automatically corrected in the Company's records which will help the Company and the Company's Registrars and Transfer Agents M/s Beetal Financial & Computers Services (P) Ltd. to provide efficient and better services. Members holding shares in physical form are requested to intimate such changes to M/s Beetal Financial & Computers Services (P) Ltd.

8. With a view to using natural resources responsibly, we request shareholders to update their email address with their Depository Participants to enable the Company to send communications electronically.
9. The Notice of the AGM along with the Annual Report 2015-16 is being sent by electronic mode to those Members whose e-mail addresses are registered with the Company/Depository Participants, unless any Member has requested for a physical copy of the same. For Members who have not registered their e-mail addresses, physical copies are being sent by the permitted mode.

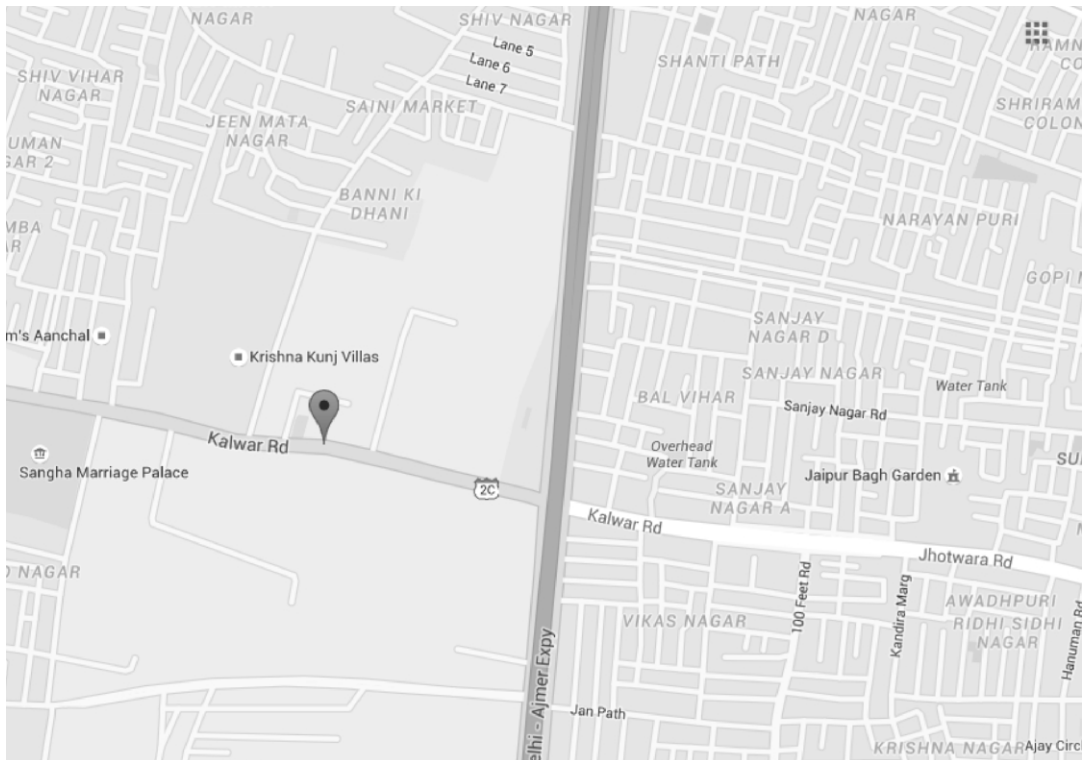
The Securities and Exchange Board of India (SEBI) has mandated the submission of Permanent Account Number (PAN) by every participant in the securities market. Members holding shares in electronic form are, therefore, requested to submit their PAN to the depository participants with whom they maintain their demat accounts. Members holding shares in physical form should submit their PAN to the Company/ Registrar.

10. According to the provisions of section 108 of the Companies Act, 2013 and sub rule 2 of Rule 20 of the Companies (Management and Administration) Rules, 2014, as amended from time to time, and Regulation 44 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, all the listed Companies are mandatorily required to provide to its members facility to exercise their right to vote on resolutions proposed to be considered at general meeting by electronic means. So the Company has provided a facility to the members to cast their vote electronically, through the e-voting services facility arranged by CDSL on all resolutions set forth in this Notice. The facility for voting through ballot paper will also be made available at the AGM and members attending the meeting who have not already cast their votes by remote e-voting shall be able to exercise their right at the AGM through the ballot paper. Members who have cast their votes by remote e-voting prior to the AGM may attend the AGM but shall not be entitled to cast their votes again. The business at the Annual General Meeting shall be transacted through electronic voting system. The instructions for e-voting are annexed to the notice.
11. Members are requested to lodge the transfer, transmission of shares at the registered office or to the Registrar & Share Transfer Agent M/s. Beetal Financial & Computer Services (P) Ltd, Beetal House, 3rd Floor, 99, Madangir, Behind Local Shopping Centre, Near Dada Harshukh Das Mandir, New Delhi-110062 and to inform any change in their address immediately so as to enable the company to do future communications at their correct address.
12. The Company's shares are listed on The Bombay Stock Exchange Limited.
13. Pursuant to Regulation 36 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, additional information of Directors seeking appointment/re-appointment at the Annual General Meeting is furnished as annexure to this notice.

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

2015-2016

14. All documents referred to in the notice will be available for inspection at the Company's Registered Office during normal business hours on working days up to the date of the AGM.
15. The annual report and other documents are also available on the Company's website: www.jaipurhospital.co.in.
16. With reference to SS-2 for the easy convenience of recipients of notice, Route Map to the venue of Annual General Meeting of the company is as under



Date: 10.08.2016

BY ORDER OF THE BOARD

Registered Office

Jaipur Hospital
Lal Kothi, Near S.M.S. Stadium
Tonk Road, Jaipur-302015
CIN:L85110RJ1989PLC005206

**Sd/-
Shiv Shankar Sharma
(COMPANY SECRETARY)**

**Brief Profile of Directors seeking Re-appointment/
 Appointment at the Twenty Seventh Annual General Meeting
 (in pursuance of Regulation 36 of the SEBI
 (Listing Obligations and Disclosure Requirements) Regulations, 2015)**

Name of Directors	Mrs. Maya Sharma
Date of Birth	25.12.1958
Date of Appointment	18.09.2015
Expertise in Specific Functional Area	General Management
Qualification	Graduate
Shareholding	1,60,800
Relationship with other Directors	Dr. Shailendra Sharma – Spouse
	Dr. Karan Sharma - Son
List of Public Companies in which outside Directorship held on 31.03.2016	NIL
Chairman/ Member of Committees in outside Public Companies in which he/she is a Director as on 31.03.2016	NIL

SHAREHOLDER INSTRUCTIONS FOR E-VOTING

The instructions for shareholders voting electronically are as under:

- (i) The voting period begins on Wednesday, 21st day of September, 2016 (10:00 A.M.) and ends on Friday, 23rd day of September, 2016 (5.00 P.M.). During this period shareholders' of the Company, holding shares either in physical form or in dematerialized form, as on the cut-off date (record date) of Saturday, 17th day of September, 2016 may cast their vote electronically. The e-voting module shall be disabled by CDSL for voting thereafter.
- (ii) The shareholders should log on to the e-voting website www.evotingindia.com.
- (iii) Click on Shareholders.
- (iv) Now Enter your User ID
 - a. For CDSL: 16 digits beneficiary ID,
 - b. For NSDL: 8 Character DP ID followed by 8 Digits Client ID,
 - c. Members holding shares in Physical Form should enter Folio Number registered with the Company.
- (v) Next enter the Image Verification as displayed and Click on Login.
- (vi) If you are holding shares in demat form and had logged on to www.evotingindia.com and voted on an earlier voting of any company, then your existing password is to be used.
- (vii) If you are a first time user follow the steps given below:

	For Members holding shares in Demat Form and Physical Form
PAN	Enter your 10 digit alpha-numeric PAN issued by Income Tax Department(Applicable for both demat shareholders as well as physical shareholders) - Members who have not updated their PAN with the Company/Depository Participant are requested to use the first two letters of their name and the 8 digits of the sequence number in the PAN field. - In case the sequence number is less than 8 digits enter the applicable number of 0's before the number after the first two characters of the name in CAPITAL letters. Eg. If your name is Ramesh Kumar with sequence number 1 then enter RA00000001 in the PAN field.
Dividend Bank Details OR Date of Birth (DOB)	Enter the Dividend Bank Details or Date of Birth (in dd/mm/yyyy format) as recorded in your demat account or in the company records in order to login. If both the details are not recorded with the depository or company please enter the member id / folio number in the Dividend Bank details field as mentioned in instruction (iv)

- (viii) After entering these details appropriately, click on "SUBMIT" tab.
- (ix) Members holding shares in physical form will then directly reach the Company selection screen. However, members holding shares in demat form will now reach 'Password Creation' menu wherein they are required to mandatorily enter their login password in the new password field. Kindly note that this password is to be also used by the demat holders for voting for resolutions of any other company on which they are eligible to vote, provided that company opts for e-voting through CDSL platform. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.
- (x) For Members holding shares in physical form, the details can be used only for e-voting on the resolutions contained in this Notice.
- (xi) Click on the EVSN for the Sharma East India Hospitals and Medical Research Limited.
- (xii) On the voting page, you will see "RESOLUTION DESCRIPTION" and against the same the option "YES/NO" for voting. Select the option YES or NO as desired. The option YES implies that you assent to the Resolution and option NO implies that you dissent to the Resolution.
- (xiii) Click on the "RESOLUTIONS FILE LINK" if you wish to view the entire Resolution details.
- (xiv) After selecting the resolution you have decided to vote on, click on "SUBMIT". A confirmation box will be displayed. If you wish to confirm your vote, click on "OK", else to change your vote, click on "CANCEL" and accordingly modify your vote.
- (xv) Once you "CONFIRM" your vote on the resolution, you will not be allowed to modify your vote.
- (xvi) You can also take a print of the votes cast by clicking on "Click here to print" option on the Voting page.
- (xvii) If a demat account holder has forgotten the login password then Enter the User ID and the image verification code and click on Forgot Password & enter the details as prompted by the system.
- (xviii) **Shareholders can also cast their vote using CDSL's mobile app m-Voting available for android based mobiles. The m-Voting app can be downloaded from Google Play Store. Apple and Windows phone users can download the app from the App Store and the Windows Phone Store respectively on or after 30th June 2016. Please follow the instructions as prompted by the mobile app while voting on your mobile**

- (xix) Note for Non – Individual Shareholders and Custodians• Non-Individual shareholders (i.e. other than Individuals, HUF, NRI etc.) and Custodian are required to log on to www.evotingindia.com and register themselves as Corporates.
- A scanned copy of the Registration Form bearing the stamp and sign of the entity should be emailed to helpdesk.evoting@cdslindia.com.
 - After receiving the login details a Compliance User should be created using the admin login and password. The Compliance User would be able to link the account(s) for which they wish to vote on.
 - The list of accounts linked in the login should be mailed to helpdesk.evoting@cdslindia.com and on approval of the accounts they would be able to cast their vote.
 - A scanned copy of the Board Resolution and Power of Attorney (POA) which they have issued in favour of the Custodian, if any, should be uploaded in PDF format in the system for the scrutinizer to verify the same.
- (xx) In case you have any queries or issues regarding e-voting, you may refer the Frequently Asked Questions (“FAQs”) and e-voting manual available at www.evotingindia.com, under help section or write an email to helpdesk.evoting@cdslindia.com.

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

2015-2016

DIRECTORS' REPORT

To,

The Members,

Your Directors have pleasure in submitting their Twenty Seventh Annual Report on the business and operations of your Company together with the Audited Annual Accounts and Cash Flow Statement for the year ended 31st March, 2016.

1. FINANCIAL RESULTS

	(₹ in Lacs)	
	<u>For the year ended on</u>	
	<u>2015-2016</u>	<u>2014-2015</u>
Professional Receipts & Other income	1743.02	1691.65
Profit before interest, Depreciation & Tax	106.73	178.68
Less : Interest	44.52	74.83
Operating Profit	62.21	103.85
Less: Depreciation	58.70	60.50
Net Profit before Tax	3.51	43.35
Add/(Less): Tax Expense		
Current Tax	(1.90)	(12.69)
Net Deferred Tax	1.38	26.37
Net Profit After Tax	2.99	57.03
Add: Profit brought forward from Previous Year	203.48	242.61
Less: Fixed Assets written off	1.96	96.16
Surplus carried forward to Balance Sheet	204.51	203.48
Earning per Share (Basic)	0.09	1.74
Earning per Share (Diluted)	0.09	1.74

2. REVIEW OF BUSINESS OPERATIONS AND FUTURE PROSPECTS

The Company's Professional Receipts and Other Income are Rs. 1743.02 Lacs during the current year as compared to Rs. 1691.65 Lacs during the previous year and the company has earned a profit after tax of Rs. 2.99 Lacs during the current year as compared to Rs. 57.03 Lacs in Previous year. Decline in profits is due to increase in Cost of Material Consumption.

Further your Company has been continuously making efforts to enhance the operations and also trying to hold its grip over upcoming opportunities in Medical & Health Industry.

3. DIVIDEND

Your Directors have considered it financially prudent in the long-term interests of the Company to reinvest the profits into the business to build a strong reserve base and grow the business of the Company. Further, in view of marginal funds, the Board of Directors doesn't recommended payment of dividend for the year under review.

4. TRANSFER TO RESERVES

No amount has been transferred to General Reserve during the year. The company carries reserves of Rs. 204.51 Lacs under the head surplus at the end of the financial year 2015-16.

5. SIGNIFICANT MATERIAL CHANGES AFTER BALANCE SHEET DATE AFFECTING FINANCIAL POSITION

There are no changes and commitments affecting the financial position of the company which have occurred between the date of Balance Sheet i.e. 31.03.2016 and the date of this report.

6. CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

Details pertaining to Conservation of Energy and Technology Absorption as required under Section 134 (3) (m) of the Companies Act, 2013 read with Rule 8 of the Companies (Accounts) Rules, 2014 are as follows:-

- (A) Conservation of Energy: The operations of the company are not energy intensive. We regularly evaluate and use new energy efficient technologies and make necessary investment in energy saving equipments to make our infrastructure more energy-efficient. The company is continuously striving to conserve the energy at its all levels.
- (B) Technology Absorption: Your Company strives for latest technology for its processes and also strives to achieve full technology absorption.

There were no foreign exchange earnings and outgo during the financial year.

7. DEVELOPMENT AND IMPLEMENTATION OF RISK MANAGEMENT POLICY OF THE COMPANY

The Risk Management of the Company is overseen by the Board of Directors at various levels and the policy of the Company on Risk Management is provided in this Annual Report in

Management Discussion and Analysis Report.

8. CORPORATE SOCIAL RESPONSIBILITIES (CSR)

The Company does not meet the criteria of Section 135 of Companies Act, 2013 read with the Companies (Corporate Social Responsibility Policy) Rules, 2014. The Company has not developed and implemented any Corporate Social Responsibility policy as the said provisions are not applicable to the Company.

9. PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS MADE UNDER SECTION 186 OF THE COMPANIES ACT, 2013.

Details of loans, investments and guarantees covered under the provisions of Section 186 of Companies Act 2013 are given in the Notes forming part of Financial Statements.

10. PARTICULARS OF CONTRACTS OR ARRANGEMENTS MADE WITH RELATED PARTIES

All related party transactions that were entered into during the financial year were on an arm's length basis and were in the ordinary course of business.

The details forming part of the Related Parties Transactions under Section 188(1) of the Companies Act, 2013 during the year as per Form AOC-2 is enclosed as **Annexure A**. Further there were no contracts or arrangements entered with the Company's Promoters, Directors, Management or their relatives which could have had a potential conflict with the interests of the company.

11. EXPLANATIONS OR COMMENTS ON QUALIFICATIONS, RESERVATIONS OR ADVERSE REMARKS OR DISCLAIMERS MADE BY THE AUDITORS AND THE SECRETARIAL AUDITORS IN THEIR REPORTS

Observations of Statutory Auditors and Secretarial Auditors are self-explanatory and do not call for any further comments.

i. Statutory Auditors :

The appointment of M/s Gopal Sharma & Co., Chartered Accountants, Jaipur which was approved in 25th Annual General Meeting till 30th Annual General Meeting is ratified at this Annual General Meeting.

During the year under review, there were no audit qualifications made by the Auditors in their Report on the Company's financial statements. The Company continues to adopt best accounting practices to ensure a regime of un-qualified financial statements.

ii. Secretarial Auditors :

Secretarial Audit was conducted according to the provisions of Section 204 of the Companies Act, 2013 read with Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014. There were no adverse comments, qualifications or reservations or adverse remarks in the Secretarial Audit Report.

The Secretarial Audit Report submitted by Secretarial Auditor is enclosed as a part of this report as **Annexure-B**.

12. REMUNERATION RATIO OF THE DIRECTORS/ KEY MANAGERIAL PERSONNEL (KMP)/EMPLOYEES

The information required pursuant to Section 197 read with Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 in respect of Directors and Key Managerial Personnel of the Company is furnished in **Annexure C** to this report.

13. COMPANY'S POLICY RELATING TO DIRECTORS APPOINTMENT AND REMUNERATION

The remuneration policy of the company has been framed by the Nomination and Remuneration Committee of the Company. The Company's Policy relating to appointment of Directors, payment of remuneration, Directors' qualifications, positive attributes, independence of Directors etc. pursuant to Section 178(3) of the Companies Act, 2013 is as follows:

The Company considers human resources as its invaluable assets. The policy of the company on nomination and remuneration of Directors, Key Managerial Personnel (KMPs) and other employees has been formulated in terms of Section 178, Section 197 and other applicable provisions of the Companies Act, 2013 and the listing agreement in order to pay equitable remuneration to the Directors, KMPs and employees of the Company and to harmonize the aspirations of human resources consistent with the goals of the Company.

Remuneration payable to Directors of the Company are as per the limits as contained in the provisions of Section 197 read with Schedule V of the Companies Act, 2013.

The Remuneration Policy of the Company stipulates the criteria for determining qualifications, competencies, positive attributes and independence for appointment of a Director (Executive /Non-Executive) and provides the Board, information about the matters relating to the remuneration of the Directors, Key Managerial Personnel and other employees. This includes, reviewing and approving corporate goals and objectives relevant to the compensation of the Directors, Key Managerial Personnel and other employees and evaluating the performance of Directors, Key Managerial Personnel and other employees in light of those goals and objectives.

The Remuneration Policy of the company stipulates that:

- a) the composition of remuneration is such that it is reasonable and sufficient to attract, retain and motivate the directors of the quality required to run the company successfully.
- b) there is proper relationship between remuneration and performance.
- c) remuneration to Directors, Key Managerial Personnel and Senior Management involves a balance between fixed and incentive pay reflecting short and long term performance objective appropriate to the working of the company and its goals.

14. EXTRACT OF ANNUAL RETURN

The extract of Annual Return pursuant to the provisions of Section 92(3) of Companies Act, 2013 read with Rule 12(1) of the Companies (Management and Administration) Rules, 2014 in form MGT 9 is furnished in **Annexure D** and is attached to this Report.

15. DETAILS OF BOARD MEETINGS CONDUCTED DURING THE YEAR

During the Financial Year 2015-16, five meetings of the Board of Directors were held as per Section 173 of Companies Act, 2013 details of which are summarized below. The provisions of Companies Act, 2013 were adhered to while considering the time gap between two meetings.

Date of Meeting

21st May, 2015

14th August, 2015

06th November, 2015

10th February, 2016

18th March, 2016

16. DIRECTORS' RESPONSIBILITY STATEMENT

In accordance with the provisions of Section 134(5) of the Companies Act, 2013 the Board hereby submit its responsibility statement and confirm that:-

- (a) in the preparation of the annual accounts for the year ended 31st March, 2016, the applicable accounting standards had been followed along with proper explanation relating to material departures;
- (b) they have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company at the end of the financial year and of the profit and loss of the company for that period;
- (c) they have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;
- (d) they have prepared the annual accounts on a going concern basis;
- (e) they have laid down internal financial controls to be followed by the company that are adequate and operating effectively; and
- (f) they have devised proper systems to ensure compliance with the provisions of all applicable laws and these are adequate and are operating effectively.

17. SUBSIDIARIES AND JOINT VENTURES COMPANIES

The Company does not have any Subsidiary and Joint venture Companies.

18. DEPOSITS

The Company has neither accepted nor renewed any deposits covered under the provisions of section 73 and Chapter V of the Companies Act, 2013 read with the Companies (Acceptance of Deposits) Rules, 2014 during the year.

19. DIRECTORS AND KEY MANAGERIAL PERSONNEL

The composition of Board is in accordance with the requirements set forth by Section 149 of Companies Act, 2013. The Directors possess experience in various fields that encompass Medical and Health, Law, Banking, Accounting and Finance. The composition of Board of Directors consists of 6 Directors which is a perfect combination of One Executive and Five Non Executive directors. The Board consists of 3 Independent Directors. The changes in the constitution of Board / KMPs during the financial year and present directors as on 31.03.2016 are as follows:

S.No	Name	Designation / Change in Designation	Category	Date of appointment - Date of Change in Designation	Date of Cessation & Mode of Cessation
1.	Karan Sharma	Director	Non-Executive	01/04/2007	N.A.
2.	Shailendra Sharma	Director/Managing Director	Executive Managing Director	16/11/1989- 14/08/2015	N.A.
3.	Maya Sharma	Director	Non-Executive	18/09/2015	N.A.
4.	Madhur Krishna Khaitan	Director/Independent Director	Non-Executive Independent	14/07/2011- 18/09/2015	N.A.
5.	Subhash Chand Jain	Director/Independent Director	Non-Executive Independent	28/04/1990- 18/09/2015	N.A.
6.	Avani Agarwal	Director/Independent Director	Non-Executive Independent	14/07/2011- 18/09/2015	N.A.
7.	Ganpat Rai Sharma	Director	Non-Executive	29/09/1992	20/08/2015 Due to DEMISE
8.	Vimal Kumar Joshi	Chief Financial Officer	N.A.	14/08/2014	N.A.
9.	Bhavyata Soni	Company Secretary	N.A.	21/10/2011	21/09/2015
10.	Shiv Shankar Sharma	Company Secretary	N.A.	18/03/2016	N.A.

During the Financial Year, Dr. Shailendra Sharma was reappointed as Managing Director under section 196 and other applicable provisions of the Companies Act, 2013 with effect from 14th August, 2015 for the period of 5 years, Mrs. Maya Sharma was appointed as Director under section 160 of the Companies Act, 2013 with effect from 18th September, 2015. Furthermore, Mr. Madhur Krishna Khaitan, Mrs. Avani Agarwal and Mr. Subhash Chand Jain were appointed as Independent Directors pursuant to the provisions of section 149 of Companies Act, 2013 with effect from 18th September, 2015 for the period of 5 years. Mr. Ganpat Rai Sharma, former Chairman of the Company is not associated with the Company with effect from 20th August, 2015 due to his sudden demise. Your directors place on record their appreciation and tribute for the valuable services rendered by him in the capacity of director of the company.

During the year 2015-16, Ms. Bhavyata Soni resigned from the Company Secretaryship on 21st September, 2015 and Mr. Shiv Shankar Sharma was appointed as Company Secretary

and Compliance Officer of Company with effect from 18th March, 2016.

In accordance with the provisions of the Companies Act, 2013 and the Articles of Association, Mrs. Maya Sharma (DIN: 00432496), Director of the Company retire by rotation at the ensuing Annual General Meeting and being eligible offer herself for re-appointment.

None of the Directors of the Company is disqualified for being appointed as Directors.

20. DECLARATION BY INDEPENDENT DIRECTORS

The Independent Directors have submitted their declaration to the Board that they fulfil all the requirements as stipulated in Section 149(6) of the Companies Act, 2013.

21. AUDITORS:-

21.1 Statutory Auditors & their Report

M/s Gopal Sharma & Co., Chartered Accountants (Firm Registration No. 002803C), Jaipur were appointed as Statutory Auditors in the 25th Annual General Meeting held on 24th September, 2014 till the conclusion of Thirtieth Annual General Meeting to be held in the year 2019, such appointment is ratified at the forthcoming Annual General Meeting till the conclusion of the next Annual General Meeting to audit the accounts of the Company, including the audit of Cash Flow Statements, at such a remuneration as may be mutually agreed between the Board of Directors of the Company and the Auditors. The Company has received a certificate from the above Auditors to the effect that if they are reappointed, it would be in accordance with the provisions of Section 141 of the Companies Act, 2013.

21.2 Cost Auditor

Pursuant to Section 148 of the Companies Act, 2013 read with rules made there under the maintenance of cost audit records is not applicable to the company.

21.3 Secretarial Auditors

The Company has appointed Secretarial Auditors to conduct the secretarial audit for the Financial Year ended 31.03.2016 according to the provisions of section 204 of the Companies Act, 2013 read with Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

22. RECONSTITUTION OF ALL COMMITTEES OF THE BOARD

During the year, due to demise of Shri Ganpat Rai Sharma dated 20th August 2015 and appointment of Smt. Maya Sharma with effect from 18th September, 2015, it was necessary to reconstitute all the Committees of the Board of Directors of the Company. Details of all the Committees of the Board of Directors of the Company is as under:-

a) Audit Committee

The constitution of audit committee is in confirmation with the requirements of Section 177 of the Companies Act, 2013. During the year the Audit Committee was reconstituted. At present, the Audit Committee of the Company consists of 4 Directors, out of which 3 directors are Independent (Details of the same are summarized below). The Committee is chaired by Mr. Madhur Krishna Khaitan, an Independent Director. All the members of the audit committee are financially literate and are able to read and understand the financial statements.

S.No.	Name of Members of Committee	Nature of Directorship	Designation
1.	Madhur Krishna Khaitan	Independent Director	Chairman
2.	Maya Sharma	Non-Executive Director	Member
3.	Subhash Chand Jain	Independent Director	Member
4.	Avani Agarwal	Independent Director	Member

b) Nomination & Remuneration Committee

The constitution of Nomination & Remuneration Committee is in confirmation with the requirements of Section 178 of the Companies Act, 2013. During the year the Nomination & Remuneration Committee was reconstituted. At present, the Nomination & Remuneration Committee of the Company consists of 4 Directors, out of which 3 directors are Independent (Details of the same are summarized below). The Committee is chaired by Mr. Madhur Krishna Khaitan, an Independent Director.

S.No.	Name of Members of Committee	Nature of Directorship	Designation
1.	Madhur Krishna Khaitan	Independent Director	Chairman
2.	Maya Sharma	Non-Executive Director	Member
3.	Subhash Chand Jain	Independent Director	Member
4.	Avani Agarwal	Independent Director	Member

c) Stakeholders Relationship Committee

The constitution of Stakeholders Relationship Committee is in confirmation with the requirements of Section 178 of the Companies Act, 2013. During the year the Stakeholders Relationship Committee was reconstituted. At present, the Stakeholders Relationship Committee of the Company consists of 3 Directors (Details of the same are summarized below). The Committee is chaired by Dr. Karan Sharma, a Non-Executive Director.

S.No.	Name of Members of Committee	Nature of Directorship	Designation
1.	Karan Sharma	Non-Executive Director	Chairman
2.	Subhash Chand Jain	Independent Director	Member
3.	Madhur Krishna Khaitan	Independent Director	Member

d) Share Transfer Committee

The Share Transfer Committee has been constituted to oversee the matters related with transfer of shares of the company so as to avoid delay in Share Transfer Process and to expeditiously resolve the issues related with share transfers. During the year the Share Transfer Committee was reconstituted. At present, the Share Transfer Committee of the Company consists of 3 Directors (Details of the same are summarized below). The Committee is chaired by Dr. Karan Sharma, a Non-Executive Director.

S.No.	Name of Members of Committee	Nature of Directorship	Designation
1.	Karan Sharma	Non-Executive Director	Chairman
2.	Subhash Chand Jain	Independent Director	Member
3.	Shailendra Sharma	Managing Director	Member

23. VIGIL MECHANISM

Pursuant to the provisions of Section 177(9) & (10) of the Companies Act, 2013 the Company has established a vigil mechanism for directors and employees to report genuine concerns. The Vigil Mechanism provides adequate safeguards against victimization of employees and directors who express their concerns. The Mechanism provides direct access to the chairman of the Audit Committee. The Vigil Mechanism Policy has been uploaded on the website of the Company at www.jaipurhospital.co.in

24. SHARES**a) BUY BACK OF SHARES**

During the year under review Company has not dealt with buy back proposal.

b) SWEAT EQUITY

During the year under review the Company has not issued any Sweat Equity Shares.

c) BONUS SHARES

During the year under review no Bonus Shares were issued.

d) EMPLOYEES STOCK OPTION PLAN

The Company has not provided any Stock Option Scheme to the employees during the year.

25. MANAGEMENT DISCUSSION AND ANALYSIS REPORT

As required under Regulation 34 (1) (e) of SEBI (Listing Obligations and Disclosure Requirement) Regulations, 2015, Management Discussion and Analysis report is enclosed to this report.

26. CORPORATE GOVERNANCE REPORT

The Company does not fulfill the criteria as specified under sub regulation (2) of regulation 15 of Chapter IV of SEBI (Listing Obligations and Disclosure Requirement) Regulations, 2015 ("The Regulations, 2015") with respect to applicability of Corporate Governance provisions mentioned in regulations 17 to 27 and clauses (b) to (i) of sub regulation (2) of regulation 46 and paras C, D and E of Schedule V of the Regulations, 2015. Therefore the Corporate Governance Report pursuant to sub regulation (3) of regulation 34 and Schedule V of the Regulations, 2015 need not be attached to this report.

27. ANNUAL EVALUATION OF THE PERFORMANCE OF THE BOARD AND COMMITTEES

The performance of the Board of Directors and Committees of the company are evaluated on the basis of fulfilment of short term and long term objectives of the company. Besides this, other qualitative and quantitative factors are also considered the basis of evaluation of the Board of Directors and Committees.

28. ADEQUACY OF INTERNAL FINANCIAL CONTROLS

The company has adequate Internal Financial Controls with reference to the Financial Statements. Details of the same are provided in Management Discussion and Analysis Report.

The Company has adequate system of internal control to safeguard and protect from loss, unauthorized use or disposition of its assets.

All the transactions are properly authorized, recorded and reported to the Management. The Company is following all the applicable Accounting Standards for properly maintaining the books of accounts and reporting financial statements.

29. CHANGE IN NATURE OF BUSINESS

There is no change in the nature of business of the company during the financial year.

30. SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS

There are no significant material orders passed by the Regulators / Courts which would impact the going concern status of the Company and its future operations.

31. LISTING AGREEMENT

The Securities and Exchange Board of India (SEBI), on September 02, 2015, issued SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 with the aim to consolidate and streamline the provisions of the Listing Agreement for different segments of

capital markets to ensure better enforceability. The said regulations were effective December 01, 2015 accordingly, all listed entities were required to enter into the Listing Agreement within six months from the effective date. The Company entered into Listing Agreement with BSE Limited during February, 2016.

32. ACKNOWLEDGEMENT

The Board expresses their grateful thanks for the assistance and co-operation extended by Punjab National Bank & other Banks, various departments of State & Central Government and other Associations.

Your Directors wish to convey their gratitude and appreciation to all employees of the Company for their valuable contribution during the year. They also wish to place on record their appreciation to the Company's Customers, Investors, Shareholders, Bankers, Suppliers, Distributors and other business associates for their cooperation and support.

Last but not the least Directors wish to place on records their deep sense of appreciation for the devoted services of Consultant Doctors and entire Nursing Staff at all levels of the Company for its growth.

BY THE ORDER OF THE BOARD

Place : Jaipur
Date : 10.08.2016

Sd/-
(Dr. Karan Sharma)
Director
DIN: 01484050

Sd/-
(Dr. Shailendra Sharma)
Managing Director
DIN: 00432070

ANNEXURE-A
FORM NO. AOC -2

(Pursuant to clause (h) of sub-section (3) of section 134 of the Companies Act, 2013 and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for Disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub section (1) of section 188 of the Companies Act, 2013 including certain arms length transactions under third proviso thereto.

1. Details of contracts or arrangements or transactions not at Arm's Length Basis.

SL. No.	Particulars	Details
A	Name (s) of the related party & nature of relationship	NIL
B	Nature of contracts/arrangements/transactions	NIL
C	Duration of the contracts/arrangements/transactions	NIL
D	Salient terms of the contracts or arrangements or transactions including the value	NIL
E	Justification for entering into such contracts or arrangements or transactions	NIL
F	Date (s) of approval by the Board	NIL
G	Amount paid as advances	NIL
H	Date on which the special resolution was passed in General meeting as required under first proviso to section 188	NIL

2. Details of material contracts or arrangements or transactions at Arm's Length Basis.

SL. No.	Particulars	Details
A	Name (s) of the related party and nature of relationship	NIL
B	Nature of the contracts/ arrangements/ transactions	NIL
C	Duration of the contracts/ arrangements/ transactions	NIL
D	Salient terms of the contracts or arrangements or transactions including the value	NIL
E	Date (s) of approval by the Board	NIL
F	Amount paid as advances	NIL

BY THE ORDER OF THE BOARD

**Place : Jaipur
Date : 10.08.2016**

**Sd/-
(Dr. Karan Sharma)
Director
DIN: 01484050**

**Sd/-
(Dr. Shailendra Sharma)
Managing Director
DIN: 00432070**

ANNEXURE- B

Form MR-3

SECRETARIAL AUDIT REPORT

[Pursuant to section 204(1) of the Companies Act, 2013 and Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

FOR THE FINANCIAL YEAR ENDED 31.03.2016

To,
The Members,
Sharma East India Hospitals & Medical Research Limited
Jaipur.

We have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Sharma East India Hospitals & Medical Research Limited** (hereinafter called as "the company"). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the company has, during the audit period covering the financial year commencing from 01.04.2015 and ended on 31.03.2016, complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

1. We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31.03.2016 according to the provisions of:
 - (i) The Companies Act, 2013 (the Act) and the rules made thereunder for specified sections notified and came into effect from 12th September, 2013 and sections and rules notified and came into effect there after and the Companies Act, 1956 to the extent applicable;
 - (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
 - (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
 - (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;(NotApplicable)
 - (v) The Securities and Exchange Board of India Act, 1992 ('SEBI Act') along with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, as amended from time to time and the following Regulations and Guidelines prescribed there under:-
 - (a) The Securities Board and Exchange of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011; (NotApplicable)
 - (b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 1992; (NotApplicable)
 - (c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009; (NotApplicable)
 - (d) The Securities and Exchange Board of India (Employee Stock Option Scheme and Employee

Stock Purchase Scheme) Guidelines, 1999; (Not Applicable)

- (e) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008; (Not Applicable)
 - (f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client; (Not Applicable)
 - (g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009; (Not Applicable) and
 - (h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 1998; (Not Applicable)
2. We have also examined compliance with the applicable clauses of the following:
- (i) Secretarial Standards issued by The Institute of Company Secretaries of India under the provisions of Companies Act, 1956 & Companies Act, 2013.
 - (ii) The Listing Agreement entered into by the Company with Bombay Stock Exchange Limited.
3. During the financial year under review the Company has duly complied with the provisions of the Companies Act, 2013 and rules made there under and the Companies Act, 1956 to the extent applicable and the Rules, Regulations, Guidelines, Standards, etc. mentioned above. We have relied on the information and representation made by the company and its officers for systems and mechanism formed by the company for compliances under other applicable Acts, Laws and Regulations.
4. We further report that:
- (i) The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.
 - (ii) Adequate notice is given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.
 - (iii) Majority decision is carried through while the dissenting members' views are captured and recorded as part of the minutes.
5. We further report that there are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines..

Place : Jaipur
Date : 10.08.2016

For A. Balani & Associates
Company Secretaries

Sd/-
(Amritanshu Balani)
Proprietor
ACS No. 33746
CP No. 13773

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

2015-2016

ANNEXURE - C

The information required pursuant to Section 197 read with Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 in respect of Directors and Key Managerial Personnel of the Company is as follows:-

S. No	Name	Designation	Remuneration paid 2015-16 (Amt. in Rupees)	Remuneration paid 2014-15 (Amt. in Rupees)	Ratio/Times of Remuneration paid 2015-16 to Median Employee Remuneration	% Increase in remuneration from previous year
1	Dr. Shailendra Sharma	Managing Director	24,00,000	24,00,000	20.16	0.00
2	Dr. Karan Sharma	Director	-	-	-	-
3	Mrs. Maya Sharma (Appointed with effect from 18 th Sep., 2015)	Director	-	-	-	-
4	Mr. Madhur Krishna Khaitan	Director	-	-	-	-
5	Mrs. Avani Agarwal	Director	-	-	-	-
6	Mr. Subhash Chand Jain	Director	-	-	-	-
7	Mr. Vimal Kumar Joshi	Chief Financial Officer	4,65,054	3,79,460	3.91	22.56
8	Mr. Shiv Shankar Sharma (Appointed from 18 th March, 2016)	Company Secretary	10,968	-	0.09	-
9	Ms. Bhavyata Soni (Resigned with effect from 21 st Sep., 2015)	Company Secretary	1,19,304	2,34,103	1.01	-

The median employee remuneration during the financial year 2015-16: Rs. 1,19,025

The median employee remuneration during the financial year 2014-15: Rs. 1,10,120

Percentage increase in the median remuneration of employees: 8.09%

The number of permanent employees on the rolls of the company as on March 31, 2016 and March 31, 2015 was 258 and 292 respectively.

The growth in revenue during fiscal 2016 over fiscal 2015 was 3.04%.

The aggregate increase in salary of the directors and other KMPs was 3.08% over fiscal 2015.

This increase in salary of the directors and other KMPs was based on the recommendation of the Nomination and Remuneration Committee.

The Company's variable compensation philosophy for its managerial personnel is to ensure its competency in the global markets in which it operates, for attracting and retaining the best talent.

During the Financial year ended on March 31, 2016 no employee received remuneration in excess of the highest paid director.

The remuneration paid is as per the remuneration policy of the company.

Remuneration policy of the company is based on the recommendation of the Nomination and Remuneration Committee.

Pursuant to Rule 5 of Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, there are no employees in the company who were in receipt of remuneration in excess of limits specified in the said rule.

Hence disclosures required under this rule are not applicable.

BY THE ORDER OF THE BOARD

**Place : Jaipur
Date : 10.08.2016**

**Sd/-
(Dr. Karan Sharma)
Director
DIN: 01484050**

**Sd/-
(Dr. Shailendra Sharma)
Managing Director
DIN: 00432070**

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

2015-2016

ANNEXURE - D

Form No. MGT-9

EXTRACT OF ANNUAL RETURN

as on the financial year ended on 31ST March, 2016

[Pursuant to Section 92(3) of the Companies Act, 2013 and Rule 12(1) of the Companies (Management and Administration) Rules, 2014]

I. REGISTRATION AND OTHER DETAILS:

I	CIN	:	L85110RJ1989PLC005206
II	Registration Date	:	16/11/1989
III	Name of the Company	:	Sharma East India Hospitals and Medical Research Ltd.
IV	Category / Sub-Category of the Company	:	Company Limited by Shares
V	Address of the Registered office and contact details	:	Jaipur Hospital, Near SMS Stadium, Lal Kothi, Tonk Road, Jaipur-302015 (Rajasthan) Phone: 0141-2742557, 2742619 Email:- jaipurhospital_lalkothi@rediffmail.com Website:- www.jaipurhospital.co.in
VI	Whether listed company	:	Yes (Listed in Bombay Stock Exchange)
VII	Name, Address and Contact details of Registrar and Transfer Agent, if any	:	M/s. Beetal Financial & Computer Services (P) Ltd. Beetal House, 3 rd Floor, 99, Madangir, Behind Local Shopping Centre, Near Dada Harsukhdas Mandir, New Delhi-110062 Phone:- 011-2996 1281-83 Email:- beetalrta@gmail.com

II. PRINCIPAL BUSINESS ACTIVITIES OF THE COMPANY

All the business activities contributing 10 % or more of the total turnover of the company are stated:-

Sl. No.	Name and Description of main products / services	NIC Code of the Product/ service	% to total turnover of the company
1	Hospital Activities	86100	100%

III. PARTICULARS OF HOLDING, SUBSIDIARY AND ASSOCIATE COMPANIES :

S. NO	NAME AND ADDRESS OF THE COMPANY	CIN/GLN	HOLDING/ SUBSIDIARY /ASSOCIATE	% of shares held	Applicable Section
NIL					

IV. SHARE HOLDING PATTERN (Equity Share Capital Breakup as percentage of Total Equity)
(i) CATEGORY-WISE SHARE HOLDING

Category of Shareholders	No. of Shares held at the beginning of the year				No. of Shares held at the end of the year				% Change during the year
	Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
A.Promoters									
(1) Indian									
a) Individual/HUF	0	756200	756200	23.03	0	756200	756200	23.03	0
b) Central Govt.	0	0	0	0	0	0	0	0	0
c) State Govt.	0	0	0	0	0	0	0	0	0
d) Bodies Corporate	0	1005000	1005000	30.60	0	1005000	1005000	30.60	0
e) Bank/FI	0	0	0	0	0	0	0	0	0
f) Any other	0	0	0	0	0	0	0	0	0
SUB TOTAL : (A)(1)	0	1761200	1761200	53.63	0	1761200	1761200	53.63	0
(2) Foreign									
a) NRI-Individuals	0	0	0	0	0	0	0	0	0
b) Other Individuals	0	0	0	0	0	0	0	0	0
c) Bodies Corp.	0	0	0	0	0	0	0	0	0
d) Banks/FI	0	0	0	0	0	0	0	0	0
e) Any other	0	0	0	0	0	0	0	0	0
SUB TOTAL : (A)(2)	0	0	0	0	0	0	0	0	0
Total Shareholding of Promoter (A) = (A)(1)+(A)(2)	0	1761200	1761200	53.63	0	1761200	1761200	53.63	0
B. PUBLIC SHAREHOLDINGS									
(1) Institutions									
a) Mutual Funds	0	0	0	0	0	0	0	0	0
b) Banks/FI	0	0	0	0	0	0	0	0	0
c) Central Govt.	0	0	0	0	0	0	0	0	0
d) State Govt.	0	0	0	0	0	0	0	0	0
e) Venture capital Fund	0	0	0	0	0	0	0	0	0
f) Insurance Companies	0	0	0	0	0	0	0	0	0
g) FIs	0	0	0	0	0	0	0	0	0
h) Foreign Venture Capital Funds	0	0	0	0	0	0	0	0	0
i) Others	0	0	0	0	0	0	0	0	0
SUB TOTAL (B)(1):	0	0	0	0	0	0	0	0	0

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

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(2) Non Institutions									
a)Bodies Corporate									
i)Indian	500	421900	422400	12.86	500	421900	422400	12.86	0
ii)Overseas	0	0	0	0	0	0	0	0	0
b)Individuals									
i) Individual Shareholders holding nominal share capital upto Rs. 1 Lakhs	29800	724500	754300	22.97	30300	724000	754300	22.97	0
ii) Individual Shareholders holding nominal share capital in excess of Rs. 1 Lakhs	0	345900	345900	10.54	0	345900	345900	10.54	0
c)Any Other	0	0	0	0	0	0	0	0	0
SUB TOTAL (B)(2):	30300	1492300	1522600	46.37	30800	1491800	1522600	46.37	0
Total Public Shareholding (B) = (B)(1)+(B)(2)	30300	1492300	1522600	46.37	30800	1491800	1522600	46.37	0
C. Shares held by Custodian for GDRs & ADRs	0	0	0	0	0	0	0	0	0
Grand Total (A+B+C)	30300	3253500	3283800	100	30800	3253000	3283800	100	0

* The Shareholding shown above has been regrouped in this report as per the records received from Registrar and Share Transfer Agent.

(ii) SHAREHOLDING OF PROMOTERS

S. No.	Shareholder's Name	Shareholding at the beginning of the year			Shareholding at the end of the year			% Change in share holding during the year
		No of Shares	% of total shares of the company	% of Shares pledged/ encumbered to total shares	No of Shares	% of total shares of the company	% of Shares pledged/ encumbered to total shares	
1	Shailendra Kumar Sharma	412200	12.55	0	412200	12.55	0	0
2	Pradeep Sharma	23200	0.71	0	23200	0.71	0	0
3	Rajesh Sharma	40000	1.22	0	40000	1.22	0	0
4	Jayshree Sharma	58000	1.77	0	58000	1.77	0	0
5	Brijmohan Sharma	62000	1.89	0	62000	1.89	0	0
6	Maya Sharma	160800	4.90	0	160800	4.90	0	0
7	Sharma Nursing Hone & Bone Hosptal Private Limited	183900	5.60	0	183900	5.60	0	0
8	Kshitij Enterprises (P) Limited	150700	4.59	0	150700	4.59	0	0
9	Sharma Hospital Private Limited	670400	20.42	0	670400	20.42	0	0
	Total	1761200	53.63	0	1761200	53.63	0	0

(iii) Change in Promoters' Shareholding

S. No.	Particulars	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No of Shares	% of Total Shares of the Company	No of Shares	% of Total Shares of the Company
1	At the beginning of the year	No changes in Promoters Shareholding during the year			
2	Date wise Increase / Decrease in Promoters Shareholding during the year specifying the reasons for increase / decrease (e.g. allotment/transfer/bonus/ sweat equity etc.)	No changes in Promoters Shareholding during the year			
3	At the End of the year	No changes in Promoters Shareholding during the year			

**(iv) Shareholding Pattern of top ten Shareholders
(other than Directors, Promoters and Holders of GDRs and ADRs):**

S. No	For Each of the Top 10 Shareholders	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
1	Ganpati Plast Fab Ltd. At the Beginning of the year At the end of the Year	2,90,900 2,90,900	8.86 8.86	2,90,900 2,90,900	8.86 8.86
2	T.C.I. Bhorka Project Ltd At the Beginning of the year At the end of the Year	1,00,000 1,00,000	3.05 3.05	1,00,000 1,00,000	3.05 3.05
3	Madhulika Sharma At the Beginning of the year At the end of the Year	83,800 83,800	2.55 2.55	83,800 83,800	2.55 2.55
4	Manisha Agarwal At the Beginning of the year At the end of the Year	60,000 60,000	1.83 1.83	60,000 60,000	1.83 1.83
5	Lata Sharma At the Beginning of the year At the end of the Year	40,000 40,000	1.22 1.22	40,000 40,000	1.22 1.22
6	Ashok Kumar Jain At the Beginning of the year At the end of the Year	35,500 35,500	1.08 1.08	35,500 35,500	1.08 1.08
7	B.L. Son. Fin. & Leas. P (Ltd) At the Beginning of the year At the end of the Year	29,500 29,500	0.90 0.90	29,500 29,500	0.90 0.90
8	Tarun Sethia At the Beginning of the year At the end of the Year	22,000 22,000	0.67 0.67	22,000 22,000	0.67 0.67
9	Vimala Rai At the Beginning of the year At the end of the Year	17,100 17,100	0.52 0.52	17,100 17,100	0.52 0.52
10	Mamta Jain At the Beginning of the year At the end of the Year	16,000 16,000	0.49 0.49	16,000 16,000	0.49 0.49

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

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(v) Shareholding of Directors and Key Managerial Personnel:

S. No.	For Each of the Directors and KMP	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
	Shareholding of Directors				
1	Shri Ganpat Rai Sharma (Not associated with the Company from 20 th Aug. 2015 due to demise) At the Beginning of the year At the end of the Year	5,000 5,000	0.15 0.15	5,000 5,000	0.15 0.15
2	Dr. Karan Sharma At the Beginning of the year At the end of the Year	NIL NIL	NIL NIL	NIL NIL	NIL NIL
3	Smt. Maya Sharma (Appointed from 18 th Sep.2015) At the Beginning of the year At the end of the Year	1,60,800 1,60,800	4.90 4.90	1,60,800 1,60,800	4.90 4.90
4	Shri Subhash Chand Jain At the Beginning of the year At the end of the Year	35,500 35,500	1.08 1.08	35,500 35,500	1.08 1.08
5	Shri Madhur Krishna Khaitan At the Beginning of the year At the end of the Year	NIL NIL	NIL NIL	NIL NIL	NIL NIL
6	Mrs. Avani Agarwal At the Beginning of the year At the end of the Year	NIL NIL	NIL NIL	NIL NIL	NIL NIL
Shareholding of Key Managerial Personnel					
7	Dr. Shailendra Kumar Sharma At the Beginning of the year At the end of the Year	 412200 412200	 12.55 12.55	 412200 412200	 12.55 12.55
8	Mr. Vimal Kumar Joshi At the Beginning of the year At the end of the Year	 200 200	 0.006 0.006	 200 200	 0.006 0.006
9	Mr. Shiv Shankar Sharma (Appointed from 18 th Mar.2016) At the Beginning of the year At the end of the Year	 NIL NIL	 NIL NIL	 NIL NIL	 NIL NIL
10	Ms. Bhavyata Soni (Resigned on 21 st Sep. 2015) At the Beginning of the year At the end of the Year	 NIL NIL	 NIL NIL	 NIL NIL	 NIL NIL

V. INDEBTEDNESS

Indebtedness of the Company including interest outstanding/accrued but not due for payment

Amt. in ₹

Particulars	Secured Loans excluding deposits	Unsecured Loans	Deposits	Total Indebtedness
Indebtedness at the beginning of the financial year				
i) Principal Amount	59,717,471	-	-	59,717,471
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	-	-	-	-
Total (i+ii+iii)	59,717,471	-	-	59,717,471
Change in Indebtedness during the financial year				
• Addition	49,68,721	-	-	49,68,721
• Reduction	-	-	-	-
Net Change	49,68,721	-	-	49,68,721
Indebtedness at the end of the financial year				
i) Principal Amount	6,46,86,192	-	-	6,46,86,192
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	-	-	-	-
Total (i+ii+iii)	6,46,86,192	-	-	6,46,86,192

VI. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL
A. Remuneration to Managing Director, Whole-time Directors and/or Manager:

Amt. in ₹

S. No.	Particulars of Remuneration	Name of Managing Director	Total Amount
		Dr. Shailendra Sharma	
1	Gross salary		
	(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	24,00,000	24,00,000
	(b) Value of perquisites u/s 17(2) of Income-tax Act, 1961	-	-
	(c) Profits in lieu of salary under section 17(3) Income-tax Act, 1961	-	-
2	Stock Option	-	-
3	Sweat Equity	-	-
4	Commission	-	-
	- As % of Profit		
	- Others		
5	Others	-	-
	Total (A)	24,00,000	24,00,000

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B. Remuneration to other directors:

Amt. in ₹

S. No	Particulars of Remuneration	Mr. Ganpat Rai Sharma (Not associated with the Company with effect from 20 th Aug. 2015)	Dr. Karan Sharma	Mrs. Maya Sharma (Appointed with effect from 18 th Sep. 2015)	Name of Directors			Total Amount
		Non-Executive	Non-Executive	Non-Executive	Mr. Subhash Chand Jain Non-Executive Independent	Mr. Madhur Krishna Khaitan Non-Executive Independent	Mrs. Avani Agarwal Non-Executive Independent	
1	Independent Directors • Fee for attending board committee meetings • Commission • Others	- - -	- - -	- - -	- - -	10,500 - -	- - -	10,500 - -
	Total (1)	-	-	-	-	10,500	-	10,500
2	Other Non-Executive Directors • Fee for attending board committee meetings • Commission • Others	7,000 - -	8,000 - -	- - -	- - -	- - -	- - -	15,000 - -
	Total (2)	7,000	8,000	-	-	-	-	15,000
	Total (B) = (1+2)	7,000	8,000	-	-	10,500	-	25,500

C. Remuneration to Key Managerial Personnel other than MD/Manager/WTD

Amt. in ₹

S. No.	Particulars of Remuneration	Name of Key Managerial Personnel			Total Amount
		Mr. Vimal Kumar Joshi Chief Financial Officer	Mr. Shiv Shankar Sharma Company Secretary (Appointed with effect from 18 th March, 2016)	Ms. Bhavyata Soni Company Secretary (Resigned from 21 st Sep. 2015)	
1	Gross salary (a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961 (b) Value of perquisites u/s 17(2) of Income-tax Act, 1961 (c) Profits in lieu of salary under section 17(3) Income-tax Act, 1961	4,65,054 - -	10,968 - -	1,19,304 - -	5,95,326 - -
2	Stock Option	-	-	-	-
3	Sweat Equity	-	-	-	-
4	Commission - As % of Profit - Others	-	-	-	-
5	Others	-	-	-	-
	Total (C)	4,65,054	10,968	1,19,304	5,95,326

VII. PENALTIES / PUNISHMENT/ COMPOUNDING OF OFFENCES:

Type	Section of the Companies Act	Brief Description	Details of Penalty/ Punishment/ Compounding fees imposed	Authority (RD/ NCLT/ Court)	Appeal made if any
A. COMPANY					
Penalty Punishment Compounding			NIL		
B. DIRECTORS					
Penalty Punishment Compounding			NIL		
C. OTHER OFFICERS IN DEFAULT					
Penalty Punishment Compounding			NIL		

BY THE ORDER OF THE BOARD

Place : Jaipur
Date : 10.08.2016

Sd/-
(Dr. Karan Sharma)
Director
DIN: 01484050

Sd/-
(Dr. Shailendra Sharma)
Managing Director
DIN: 00432070

MANAGEMENT DISCUSSION & ANALYSIS REPORT

Overview

The Company is a Public Limited Company incorporated in India having its registered office in Jaipur, Rajasthan. The Company is listed on Bombay Stock Exchange Limited. The Company is engaged in providing medical and healthcare services. The financial statements of the Company are prepared in accordance with Indian Generally Accepted Accounting Principles (GAAP) under historical cost convention on the accrual basis. GAAP comprises mandatory Accounting Standards as prescribed under Section 133 of the Companies Act, 2013 (the 'Act') read with Rule 7 of The Companies (Accounts) Rules, 2014, the provisions of the Act (to the extent notified) and guidelines issued by the Securities and Exchange Board of India (SEBI). Accounting policies have been consistently applied.

Industry Structure and Developments

The company is predominantly engaged in service activities related with the Medical & Health Sciences. The demand for sophisticated modern healthcare facilities is expanding very fast. With the ever expansive field of Medical Science and research the cult of health consciousness is spreading rapidly.

The company aims at providing wide range of medical services in the field of Health Industry. The objective is to offer best quality services to its customers at low costs and to achieve health growth and profitability. Your Company is committed to achieve its objective while ensuring high levels of ethical standards, professional integrity and regulatory compliances.

Opportunities & Threats

The hospital is providing the service of Heart Surgery. The hospital is also providing the service of Replacement surgery through the use of new and advance implant. The company is first in the state of Rajasthan which performed 'Replacement Surgery'. Our specially designed state of Art operation theatre is first of its kind in Rajasthan. This theatre has total body exhaust system and 'Antistatic' flooring which makes it totally sterile. That's why the company became successful in getting reorganization from many reputed Govt. Bodies/Corporations/Banks and other private enterprises for the purpose of reimbursement of medical claims of their employees being treated at the hospital.

The threats are increasing competition in health industry and increase in power tariff under the cost, huge price discrimination and low per capital expenditure.

Segment wise or Product wise performance

Not applicable to our company.

Outlook, Risks & Concerns

Jaipur Hospital is cautiously optimistic about its prospects in the coming years. The Company aims at providing high quality services and treatments to the patients and to provide them with greater satisfaction. For last couple of years the company has taken a number of initiatives to re-structure and re-engineer the operation to enable the company to compete better in this profound competitive

regime.

There are no major risks and concerns except the technology up gradation and increasing power tariff and growing competition. The company is guarding itself against these risks by laying down appropriate strategy which is to be supplemented by business plans and review mechanisms.

Internal Control systems and their Adequacy

The Internal Controls are constantly upgraded based on internal audits and audit committee's recommendations as also the perceived need to automate controls due to the increasing complexity of operations. These have been designed to provide reasonable assurance with regard to maintaining proper accounting controls, monitoring economy in cost and efficiency of operations, proper recording and safeguarding of assets from unauthorized use or losses for maintaining proper accounting records and reliability of financial Information. Internal Controls relating to the Financial Reporting are being closely monitored and related systems and processes are being refined based on the recommendations from the audit Committee and statutory Auditors. The Internal Audit programme focuses on Operational and Systems audit aiming at up gradation of controls to meet changing times and complex operating environment.

Discussion on financial performance with respect to operational performance.

	(Amt. in Rs. Lakhs)	
Highlights	2015-16	2014-15
Total Revenue from operations	1721.03	1636.25
Other Income	21.99	55.40
Total Income	1743.02	1691.65
Profit before Interest, Dep. & Tax	106.73	178.68
Finance Cost	44.52	74.83
Depreciation	58.70	60.50
Profit before Tax	03.51	43.35
Profit After Tax	02.99	57.03
Earnings per share (In Rs.)	0.09	1.74

1. Sales: - There was increase in the revenue from operations in the current year by 5.18%.
2. Finance Cost: -There was decreased by 40.50% in the finance cost during the year mainly on account of repayment of Term Loan.

Material Developments in Human Resources Development/ Industrial Relations Front.

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The Company believes that employees are not the man power but they are resource for the Company. Employees can make the difference and it has been the company's continuous endeavor to make it one of the best places to work in. Your company's human resource Philosophy is to establish and build a strong and performance driven culture with greater accountability and responsibility at all levels. To that extent the company views capability, combination of right people on the right jobs, supported by the right process, systems, structure and metrics.

Company's Human Resources (HR) systems are focused towards developing wider perspectives in employees achieving organizational excellence and enhancing their contribution to meet organizational goals. The Company recognizes the need for continuous growth and development to its employees in order to provide greater job satisfaction and also to equip them to meet growing organizational challenges. Specific Human Resources efforts were undertaken during the year to strengthen Human Resources System and practices.

We are in the services industry. As such human resources become one of the most important resources and needs to be carefully nurtured. The management team of the Company is comprised of professional and marketing personnel.

The employee relationship continues to be cordial and the company received full co-operation from employees at all levels. In our Company, measures for training, development, safety of the employees and environmental awareness received top priority of the management.

Accounting Treatment

In the preparation of Financial Statements of the company, the accounting treatment under Accounting Standards issued by the Institute of Chartered Accountants of India is followed.

Cautionary Statement

Statement in this Report, particularly those which relate to Management Discussion and Analysis, describing the Company's objectives, protections, estimates and expectations may constitute "forward looking statement" within the meaning of applicable laws and regulations. Actual results might differ materially from those either.

BY THE ORDER OF THE BOARD

Place : Jaipur
Date : 10.08.2016

Sd/-
(Dr. Karan Sharma)
Director
DIN: 01484050

Sd/-
(Dr. Shailendra Sharma)
Managing Director
DIN: 00432070

RELATED PARTY DISCLOSURES AND DISCLOSURES WITH RESPECT TO DEMAT SUSPENSE/UNCLAIMED SUSPENSE ACCOUNT

1. Related Party Disclosures pursuant to Para A of Schedule V and Regulation 34(3) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 :

Related Party Disclosures in compliance with Accounting Standard 18 issued by the Institute of Chartered Accountants of India are mentioned in the notes forming part of financial statements in the Section "Notes Forming Part of the Financial Statements" of this report.

The disclosure requirements with respect to holding and subsidiary companies in relation to related party transactions are not applicable to the Company as the Company does not has any Subsidiary Company.

2. Disclosures with respect to Demat Suspense/Unclaimed Suspense Account pursuant to Para F of Schedule V and Regulation 34(3) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015:

The disclosure requirements with respect to Demat Suspense/Unclaimed Suspense Account are not applicable to the Company as there are no shares in the Demat Suspense/Unclaimed Suspense Account.

BY THE ORDER OF THE BOARD

Place : Jaipur
Date : 10.08.2016

Sd/-
(Dr. Karan Sharma)
Director
DIN: 01484050

Sd/-
(Dr. Shailendra Sharma)
Managing Director
DIN: 00432070

INDEPENDENT AUDITOR'S REPORT

**To the Members of
Sharma East India Hospitals & Medical Research Limited**

1. Report on the Financial Statements

We have audited the accompanying financial statements of **SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LTD** ("the Company"), which comprise the Balance Sheet as at 31st March, 2016, the Statement of Profit & Loss and the Cash Flow Statement for the year then ended, and a summary of the significant accounting policies and other explanatory information.

2. Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these Financial Statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

3. Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit.

We have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and the Rules made thereunder.

We conducted our audit in accordance with the Standards on Auditing specified under Section 143(10) of the Act. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and the disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal financial control relevant to the Company's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of the accounting policies used and the reasonableness of the accounting estimates made by the Company's Directors, as well as evaluating the overall presentation of the

financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

4. Opinion

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2016, and its profit and its cash flows for the year ended on that date.

5. Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2016 issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act (hereinafter referred to the "Order"), we give in the Annexure A, a statement on the matters specified in paragraphs 3 and 4 of the Order.
2. As required by Section 143 (3) of the Act, we report that:
 - a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - c. The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account
 - d. In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
 - e. On the basis of the written representations received from the directors as on 31st March, 2016 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2016 from being appointed as a director in terms of Section 164 (2) of the Act.
 - f. With respect to adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate report in "Annexure B"; and
 - g. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company does not have any pending litigations which would impact its financial position,

- ii. The Company has not entered into any long-term contracts including derivative contracts, requiring provision under applicable laws or accounting standards, for material foreseeable losses, and
- iii. The Company has not declared any dividend, hence the requirement to transfer the amount to the Investor Education and Protection Fund is not applicable.

**For : GOPAL SHARMA AND COMPANY
CHARTERED ACCOUNTS**

Sd/-

(VIRENDRA BHURAT)

(PARTNER)

Membership No.071964

Firm Registration No. 002803C

Place : Jaipur

Date : 14.05.2016

ANNEXURE - A TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our Report of even date)

1.
 - a. The company has maintained proper records showing full particulars including quantitative details and situation of fixed assets.
 - b. All the fixed assets have been physically verified by the management at reasonable intervals and no material discrepancies were noticed on such verification.
 - c. According to information and explanation given to us and on the basis of our examination of the records of company, the title deeds of immovable properties are held in the name of the Company.
2. The inventories have been physically verified at reasonable intervals by the management and no material discrepancies were noticed on such physical verification and they have been properly dealt with in the books of account.
3. As per the information given to us, the company has not granted any loans, secured or unsecured, to the companies, firms, Limited Liability Partnerships or other parties covered in the register maintained under section 189 of the Companies Act 2013.
4. In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of section 185 and 186 of the Act, with respect to the loans, Investments, Guarantees and Security.
5. The company has not accepted any deposits during the year. Accordingly paragraph 3(v) of the Order is not applicable.
6. According to information and explanation given to us, the Central Government has not prescribed the maintenance of cost records under Section 148(1) of the Companies Act 2013. Accordingly Paragraph 3(vi) of the Order is not applicable.
7.
 - a. The company is generally regular in depositing statutory dues including provident fund, employees state insurance, income tax, service tax, duty of customs or duty of excise value added tax, cess and any other statutory dues with the appropriate authorities and according to information and explanation given to us there are no arrears of outstanding statutory dues as at the last day of the financial year under audit for a period of more than six months from the date they became payable.
 - b. According to the information and explanations given to us, no disputed amount is payable in respect of income tax or sales tax or wealth tax or service tax or duty of customs or duty of excise or value added tax or cess as at March 31, 2016.
8. According to the information and explanations given to us, the Company has not defaulted in repayment of loans or borrowing to a financial institution, bank or Government or Debenture holders.
9. The Company did not raise any money by the way of initial public offer or further public offer (including debt instruments) and term loans during the year. Accordingly paragraph 3(ix) of the Order is not applicable.

10. According to the information and explanations given to us, no fraud by the Company or on the Company by its officers or employees has been noticed or reported during the course of our audit.
11. According to information and explanation given to us and on the basis of our examination of the records of company the Company has paid the managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V of the Companies Act, 2013.
12. This Company is not a Nidhi Company. Accordingly paragraph 3(xii) of the Order is not applicable.
13. According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with sections 177 and 188 of the Act where applicable and details of such transactions have been disclosed in the financial statements as required by the applicable accounting standards.
14. According to the information and explanations give to us and based on our examination of the records of the Company, the Company has not made any preferential allotment or private placement of Shares or fully or partly convertible debentures during the year under review.
15. The Company has not entered into any non-cash transactions with directors or persons connected with him. Accordingly paragraph 3(xv) of the Order is not applicable.
16. The Company is not required to be registered under section 45IA of the Reserve Bank of India Act, 1934.

**For : GOPAL SHARMA AND COMPANY
CHARTERED ACCOUNTS**

Sd/-

**(VIRENDRA BHURAT)
(PARTNER)**

Membership No.071964

Firm Registration No. 002803C

Place : Jaipur

Date : 14.05.2016

ANNEXURE - B TO THE INDEPENDENT AUDITOR'S REPORT

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of **SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LTD** ("the Company"), as of 31 March 2016 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial

statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31 March 2016, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India

**For : GOPAL SHARMA AND COMPANY
CHARTERED ACCOUNTS**

**Sd/-
(VIRENDRA BHURAT)
(PARTNER)**

**Place : Jaipur
Date : 14.05.2016**

**Membership No.071964
Firm Registration No. 002803C**

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

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BALANCE SHEET AS AT 31st March, 2016

PARTICULARS	NOTE NO.	Amt. in ₹ 31.03.2016	Amt. in ₹ 31.03.2015
I.EQUITY AND LIABILITIES			
(1) Shareholders' Funds			
(a) Share Capital	3	41,574,750	41,574,750
(b) Reserves & Surplus	4	20,450,744	20,347,635
(2) Non Current Liabilities			
(a) Long-term borrowings	5	64,686,192	58,346,679
(b) Deferred-tax liabilities (Net)	6	182,184	320,945
(c) Other long term liabilities	7	8,086,374	1,625,180
(3) Current Liabilities			
(a) Trade payables	8	10,900,591	10,724,647
(b) Other Current Liabilities	9	7,766,859	12,220,698
TOTAL		153,647,694	145,160,534
II. ASSETS			
(1) Non-current assets			
(a) Fixed assets			
(i) Tangible assets	10	60,069,074	65,756,370
(b) Non-current Investments	11	3,146,490	3,146,490
(c) Long-Term Loans & Advances	12	4,902,669	5,204,476
(d) Other non-current assets	13	2,039,802	2,018,252
(2) Current assets			
(a) Inventories	14	6,489,584	1,263,453
(b) Trade receivables	15	27,237,843	20,901,809
(c) Cash and cash equivalents	16	1,541,789	1,072,649
(d) Short-term loans and advances	17	44,079,889	36,045,248
(e) Other current assets	18	4,140,554	9,751,787
TOTAL		153,647,694	145,160,534
Significant Accounting Policies	1		
Notes to Accounts	2		

The accompanying Notes 1 to 24 are an integral part of the financial statements

As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS

FOR AND ON BEHALF OF BOARD OF DIRECTORS

Sd/-
(DR.KARAN SHARMA)
DIRECTOR
DIN 01484050

Sd/-
(DR. SHAILENDRA SHARMA)
MANAGING DIRECTOR
DIN 00432070

Sd/-
(VIRENDRA BHURAT)
PARTNER
M.NO. 071964

Sd/-
(SHIV SHANKAR SHARMA)
COMPANY SECRETARY

Sd/-
(VIMAL KUMAR JOSHI)
CHIEF FINANCIAL OFFICER

Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

STATEMENT OF PROFIT & LOSS FOR THE YEAR ENDED 31ST MARCH, 2016

PARTICULARS	NOTE NO.	Amt. in ₹ 31.03.2016	Amt. in ₹ 31.03.2015
I. Revenue from operations	19	172,103,420	163,624,984
II. Other income	20	2,199,299	5,539,573
III. Total revenue (I+II)		174,302,719	169,164,557
IV. Expenses :			
Cost of materials consumed		32,413,818	28,233,453
Employee benefits expense	21	52,659,561	52,418,146
Share of Consultant	22	40,009,386	38,333,835
Finance costs	23	4,452,242	7,482,867
Depreciation		5,870,340	6,050,099
Other expenses	24	38,546,796	32,311,490
Total Expenses		173,952,143	164,829,890
V. Profit before tax (III-IV)		350,576	4,334,667
VI. Tax expense:			
(1) Current Tax		(189,967)	(1,269,059)
(2) Deferred Tax		138,761	2,637,547
VII. Profit (Loss) for the year		299,370	5,703,155
VIII. Earnings per equity share:			
(1) Basic		0.09	1.74
(2) Diluted		0.09	1.74

Significant Accounting Policies

1

Notes to Accounts

2

The accompanying Notes 1 to 24 are an integral part of the financial statements

As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS

FOR AND ON BEHALF OF BOARD OF DIRECTORS

Sd/-
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(VIMAL KUMAR JOSHI)
CHIEF FINANCIAL OFFICER

Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

2015-2016

CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH, 2016

Amt. in ₹

	As at 31.03.2016	As at 31.03.2015
(A) CASH FLOW FROM OPERATING ACTIVITIES		
NET PROFIT BEFORE TAX & EXTRA ORDINARY ITEMS	350,576	4,334,667
Adjustment for:		
Depreciation	5,870,340	6,050,099
Gain on Sale of Fixed Assets	(11,400)	-
Interest Paid	4,452,242	7,482,867
Interest received	(314,767)	(4,798)
OPERATING PROFIT BEFORE WORKING CAPITAL CHANGES	10,346,991	17,862,835
Adjustment For:(Increase)/Decrease		
(Increase)/ Decrease in Trade And Other Receivables	(8,479,185)	(7,067,074)
(Increase)/ Decrease in Inventories	(5,226,131)	(97,153)
Increase/ (Decrease) in Trade & Other Payables	2,183,299	(11,409,454)
CASH GENERATION FROM OPERATIONS	(1,175,026)	(710,846)
Taxes	(189,967)	(1,269,059)
CASH FLOW BEFORE EXTRA ORDINARY ITEMS	(1,364,993)	(1,979,905)
Extra Ordinary items	-	-
NET CASH USED IN OPERATING ACTIVITIES (A)	(1,364,993)	(1,979,905)
(B) CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of Fixed Assets	(5,513,311)	(4,961,025)
Sale of Fixed Assets	80,000	-
Realization of Investment	5,065,406	4,782,557
Interest received	314,767	4,798
NET CASH USED IN INVESTING ACTIVITIES (B)	(53,138)	(173,670)
(C) CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds of Long term Borrowing	6,339,513	-
Repayment of Long term Borrowing	-	(645,935)
Interest paid	(4,452,242)	(7,482,867)
NET CASH USED IN FINANCING ACTIVITIES (C)	1,887,271	(8,128,802)

Amt. in ₹

	As at 31.03.2016	As at 31.03.2015
NET INCREASE /(DECREASE) IN CASH & CASH		
EQUIVALENT (A+B+C)	469,140	(10,282,377)
Cash & Cash Equivalent Opening Balance	1,072,649	11,355,026
Cash & Cash Equivalent Closing Balance	1,541,789	1,072,649

As per our report of even date
FOR GOPAL SHARMA & COMPANY
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FOR AND ON BEHALF OF BOARD OF DIRECTORS

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(SHIV SHANKAR SHARMA)
COMPANY SECRETARY

Sd/-
(VIMAL KUMAR JOSHI)
CHIEF FINANCIAL OFFICER

Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

NOTE 1:**SIGNIFICANT ACCOUNTING POLICIES****Disclosure as per AS-1 issued by ICAI****♦ Basis of Preparation of Financial Statements:**

The Financial Statements are prepared on Mercantile Basis under the historical cost convention in accordance with Generally Accepted Accounting Principles in India and the provisions of Schedule III to Companies Act, 2013 and materially comply with mandatory accounting standards issued by the Institute of Chartered Accountants of India. Except where otherwise stated, the accounting principles have been consistently applied.

♦ Use of Estimates:

The preparation and presentation of financial statements requires certain estimates and assumptions to be made. These estimates and assumptions affect the reported amount of assets and liabilities as on the date of the financial statements and the reported amount of revenue and expenditure during the reporting period. Difference between the actual results and estimates are recognized in the period in which the results are known / materialized.

Disclosure as per AS-2 issued by ICAI**♦ Valuation of Inventories:**

Inventories are valued at lower of cost and net realizable value. The Company has no manufacturing activities, hence inventories consists of only spare parts and stores. During the year, land situated at Gopalpura Bypass converted into Stock-in-Trade since company entered in Joint Venture agreement for constructing flats on the said land. Consequently the Gopalpura Bypass land shown as Stock-in-Trade and valued at cost. The inventories are valued by specific identification of individual costs of spare parts. Cost of Inventories comprises of cost of purchase, cost of conversion and other costs incurred in bringing them to their respective location and condition.

Disclosure as per AS-3 issued by ICAI**♦ Cash Flow Statement:**

The Cash Flow Statement is prepared under "Indirect Method" and the same is annexed.

Disclosure as per AS-4 issued by ICAI**♦ Contingencies and events occurring after the Balance Sheet Date**

There are no instances of Contingencies and events occurring after the Balance Sheet date.

Disclosure as per AS-5 issued by ICAI**♦ Net profit or loss for the period, prior period items and changes in the Accounting policies**

There are no prior period items as per Accounting Standard 5 issued by ICAI during the financial

year.

Disclosure as per AS-6 issued by ICAI**◆ Depreciation:**

Depreciation is systematically allocated over the useful life of fixed assets as specified in Part C of Schedule II to The Companies Act, 2013. The depreciation has been provided in accordance with the provisions of Section 123 of Companies Act, 2013 read with Schedule II to Companies Act, 2013.

The excess of carrying amount over residual value of assets whose useful life is Nil as on the end of financial year 2015-16 has been debited to closing balance of Reserves & Surplus.

In respect of the addition or sale during the year, pro-rata depreciation has been provided in accordance with the provisions of Schedule II to Companies Act, 2013.

The depreciation has been provided on Written Down Value Basis.

Disclosure as per AS-7 issued by ICAI**◆ Construction Contracts**

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-9 issued by ICAI**◆ Revenue Recognition:**

The income is recognized on the basis of performance of services as per principles propounded in AS-9 issued by ICAI. The income of the Company is derived from fees from patients. For IPD Patients income is recognized at Proportionate Completion Method this year. Other Income is recognized on accrual basis. Further there were no circumstances during the year in which revenue recognition has been postponed pending the resolution of significant uncertainties.

Disclosure as per AS-10 issued by ICAI**◆ Accounting of Fixed Assets:**

The Fixed Assets are stated at historical cost less accumulated depreciation. All costs including capital expenditures attributable to Fixed Assets are capitalized.

Disclosure as per AS-11 issued by ICAI**◆ Accounting for effects of changes in foreign exchange rates**

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-12 issued by ICAI**◆ Accounting for Government Grants**

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-13 issued by ICAI**♦ Accounting for Investments:**

Long Term Investments are valued at cost. The investments are classified as current and long term as per principles enunciated in AS-13 issued by ICAI and Schedule III to Companies Act, 2013.

Disclosure as per AS-14 issued by ICAI**♦ Accounting for amalgamations**

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-15 issued by ICAI**♦ Employee Benefits:**

Retirement Benefits in respect of Employees State Insurance, Pension and Provident Fund are defined contribution plans as per AS-15 issued by ICAI. Monthly payments against these plans are charged to Profit & Loss Account.

The Company contributes towards Group Gratuity Fund administered by Life Insurance Corporation of India under the Group Gratuity Scheme which is charged against revenue. The same is classified as defined benefit plan as per AS-15 issued by ICAI.

All short term employee benefits are recognized in the Books of Accounts as per AS-15 issued by ICAI.

Disclosure as per AS-16 issued by ICAI**♦ Borrowing Costs:**

Borrowing costs that are directly attributable to the acquisition or construction of a qualifying asset are capitalized as part of the cost of that asset. Other borrowing costs are recognized as an expense in the period in which they are incurred.

No borrowing costs have been capitalized during the period since there were no qualifying assets as per Accounting Standard-16 issued by the Institute of Chartered Accountants of India.

Disclosure as per AS-17 issued by ICAI**♦ Segment Reporting**

As the Company's business activity falls within a single business segment, the disclosure requirements of Accounting Standard (AS) 17-Segment reporting is not applicable.

Disclosure as per AS-18 issued by ICAI**♦ Related Party Disclosures:**

Following are the details of the Related Party Transactions during the financial year:-

Directors	(Rs. In Lakhs)
Dr. Shailendra Kumar Sharma (Managing Director)	
Managerial Remuneration	24.00
Professional Fees paid as Doctor (MBBS, MS)	11.84
Karan Sharma (Director)	
Professional fees as Doctor (MS, MCH)	29.90

Salary paid to relatives of Directors

1.	Maya Sharma (Wife of Managing Director) Salary	1.86
2.	Dr. Pradeep Kr. Sharma (Brother of Managing Director) Salary(Ph.D. in Hospital Management)	3.66
3.	Monika Sharma (Sister-in-Law of Managing Director) Salary	2.10
4.	Madhulika Sharma (Sister-in-Law of Managing Director) Salary(M.A. in English Literature)	1.86
5.	Dr. Shivani Khanna (Wife of Director) Professional Fees paid as Doctor (MBBS, MD, RADIOLOGY)	4.52

Disclosure as per AS-19 issued by ICAI
◆ Accounting for Leases

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-20 issued by ICAI
◆ Earnings Per Share:

Particulars	31.03.2016	31.03.2015
Net Profit for the year after tax	Rs. 2,99,370	Rs. 57,03,155
No. of Equity Shares	32,83,800	32,83,800
Nominal Value Per Share	Rs. 10	Rs. 10
Basic Earnings Per Share (Rs. Per Share)	0.09	1.74
Diluted Earnings Per Share (Rs. Per Share)	0.09	1.74

Disclosure as per AS-21 issued by ICAI
◆ Consolidated Financial statements

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-22 issued by ICAI

♦ **Accounting for Taxes on Income:**

Deferred Taxes resulting from timing difference between taxable and accounting income is accounted for using the tax rates and laws that have been enacted or substantially enacted as on the balance sheet date. The Deferred Tax Asset / Liability as at the year end comprises of the following:

Particulars	31.03.2016	31.03.2015
Deferred Tax Liability on account of depreciation (A)	Rs. 1,82,184	Rs. 3,20,945
Deferred Tax Assets (B)	NIL	NIL
Net Deferred Tax Liability (A-B)	Rs. 1,82,184	Rs. 3,20,945
Decrease/ (Increase) in Net Deferred Tax Liability	Rs. 1,38,761	Rs. 26,37,547

Disclosure as per AS-23 issued by ICAI

♦ **Accounting for investments in Associates in Consolidated Financial Statements**

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-24 issued by ICAI

♦ **Discontinuing operations**

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-25 issued by ICAI

♦ **Interim Financial Reporting**

The company has adopted to publish its quarterly and half yearly financial results which are subject to the limited review and annually audit review by the Statutory Auditor.

Disclosure as per AS-26 issued by ICAI

♦ **Intangible Assets**

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-27 issued by ICAI

♦ **Financial Reporting of Interests in Joint Venture**

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-28 issued by ICAI

♦ **Impairment of Assets:**

The carrying amount of assets is reviewed at each balance sheet date to determine whether there is any indication of impairment. If any such indication exists, the recoverable amount of the asset is estimated. Recoverable amount is higher of an assets' net selling price and its value in use. Value in use is the present value of estimated future cash flows discounted to their present values. An impairment loss is recognized whenever the carrying amount of an asset or its cash generating unit exceeds its recoverable amount. Impairment loss is reversed if there is change in the estimates used to determine the recoverable amount. Based on such exercise there is no impairment of assets during the year.

Disclosure as per AS-29 issued by ICAI

◆ **Provisions, Contingent Liabilities & Contingent Assets:**

The Provision for Taxes is recognized in books of accounts in order to meet out the current tax liability.

Particulars	31.03.2016	31.03.2015
Carrying Amount at the beginning of the year	Rs. 12,69,059	Rs. 29,67,361
Add: Increase in Provisions	Rs. 1,89,967	Rs. 12,69,059
Less: Amounts used during the year	Rs. 12,69,059	Rs. 29,67,361
Less: Amounts reversed during the year	-	-
Carrying Amount at the end of the year	Rs. 1,89,967	Rs. 12,69,059

There are no contingent liabilities and assets as on the date of the balance sheet.

Disclosure as per AS-30 issued by ICAI

◆ **Financial Instruments: Recognition and Measurement**

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-31 issued by ICAI

◆ **Financial Instruments: Presentation**

Disclosure under this Accounting Standard is not applicable.

Disclosure as per AS-32 issued by ICAI

◆ **Financial Instruments: Disclosures**

Disclosure under this Accounting Standard is not applicable.

As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS

FOR AND ON BEHALF OF BOARD OF DIRECTORS

Sd/-
(VIRENDRA BHURAT)

Sd/-
(DR. KARAN SHARMA)
DIRECTOR
DIN 01484050

Sd/-
(DR. SHAILENDRA SHARMA)
MANAGING DIRECTOR
DIN 00432070

PARTNER
M.NO. 071964
Firm Registration No. 002803C

Sd/-
(SHIV SHANKAR SHARMA)
COMPANY SECRETARY

Sd/-
(VIMAL KUMAR JOSHI)
CHIEF FINANCIAL OFFICER

Place: Jaipur

Date: 14.05.2016

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

2015-2016

NOTE - 2

NOTES TO ACCOUNTS

1. Income tax comprises of current tax and deferred tax. The Current Income Tax is calculated in accordance with the provisions of Income Tax Act, 1961. Deferred Tax is calculated as per Accounting Standard-22 issued by ICAI.
2. In the Opinion of the Board of Directors and to the best of their knowledge and belief the value of realization of Current Assets, Loans & Advances in the ordinary course of business will not be less than the amount at which they are stated in the Balance Sheet.
3. Balances of Debtors, Creditors, Loans & Advances are subject to confirmation.
4. Remuneration paid to Managing Director is as per details given below:-

Managerial Remuneration includes	Current Year	Previous Year
Salary (Rs. In Lakhs)	24.00	24.00
TOTAL	24.00	24.00
5. Auditor's Remuneration includes:

Audit Fees (Rs. In Lakhs)	2.02	2.02
TOTAL	2.02	2.02
6. Cash Flow Statement for the year ended on 31st March, 2016 is enclosed in the statement annexed to these accounts. It includes a Capital Asset which is converted into Stock-in-Trade this year.
7. Figures have been rounded off to Rupees and previous year figures have been regrouped & rearranged whenever it is required.

As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS

FOR AND ON BEHALF OF BOARD OF DIRECTORS

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Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

NOTES FORMING PART OF THE FINANCIAL STATEMENTS

	As at 31.03.2016	Amt. in ₹ As at 31.03.2015
NOTE 3		
(a) SHARE CAPITAL		
AUTHORISED		
70,00,000 Equity Shares of Rs.10/- each	70,000,000	70,000,000
(b) ISSUED		
51,49,000 Equity Shares of Rs.10/- each	51,490,000	51,490,000
(c) SUBSCRIBED & PAID UP		
32,83,800 Equity Shares of Rs.10/- each	32,838,000	32,838,000
(d) FORFEITED SHARES (amount originally paid up)	8,736,750	8,736,750
TOTAL	41,574,750	41,574,750
(e) Reconciliation of the shares outstanding at the beginning and at the end of the reporting year		

	As at 31st March, 2016		As at 31st March, 2015	
	Number of Shares	Amount (In Rupees)	Number of Shares	Amount (In Rupees)
Opening and Closing Balances	3283800	32838000	3283800	32838000

(f) Terms/right attached to equity shares:

The Company has only one class of equity shares having a par value of Rs.10 per share fully paid up. Each holder of equity share is entitled to one vote per share. In the event of liquidation of the Company, the holders of the equity shares will be entitled to receive sale proceeds from remaining assets of the Company after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

(g) The details of shareholders holding more than 5% shares

	As at 31st March, 2016		As at 31st March, 2015	
	Number of Shares Held	% of Shares	Number of Shares Held	% of Shares
Sharma Hospital Pvt. Ltd.	670400	20.42	670400	20.42
Shailendra Sharma	412200	12.55	412200	12.55
Ganpati Plast Fab Ltd.	290900	8.86	290900	8.86
Sharma Nursing Home & Bone Hospital Private Limited	183900	5.59	183900	5.59

As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS

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Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

2015-2016

NOTES FORMING PART OF THE FINANCIAL STATEMENTS

Amt. in ₹

	As at 31.03.2016	As at 31.03.2015
NOTE 4		
RESERVES & SURPLUS		
Profit & Loss Account		
Opening Balance as per last Balance Sheet	20,347,635	24,261,285
Add: Profit during the year	350,576	4,334,667
TOTAL	20,698,211	28,595,952
Less: Fixed Assets Written Off	196,261	9,616,805
Less: Tax Provision	189,967	1,269,059
TOTAL	20,311,983	17,710,088
Add: Deferred tax (Net)	138,761	2,637,547
TOTAL	20,450,744	20,347,635

Non Current Liabilities

Note 5

LONG TERM BORROWINGS

(i) OTHER LOANS

From Banks (Secured)	64,686,192	59,717,471	
Less:- Amount classified as Current Maturities of Long Term Debts (refer Note No 9)	-	64,686,192	1,370,792
TOTAL	64,686,192	58,346,679	

Details of Security provided against Other Loans from Banks:

This Loan is Overdraft Facility from Punjab National Bank and the security provided against the same consist of-

- Equitable mortgage Of Land and Building Of M/S SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LTD. (Hospital building) Situated at Lal Kothi, Jaipur.(Admeasuring 2126.75 SQ. Yards.)
- Equitable Mortgage Of Residential House situated at Plot No.B-103,Janpath, Shyam Nagar, Jaipur(Admeasuring 500 SQ.Yards.)
- Collateral Security : Personal Guarantee of Managing Director of the Company Dr. Shailendra Sharma and Smt.Maya Sharma.

As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS

FOR AND ON BEHALF OF BOARD OF DIRECTORS

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CHIEF FINANCIAL OFFICER

Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
Amt. in ₹

	As at 31.03.2016	As at 31.03.2015
Note 6		
Deferred Tax Liabilities	182,184	320,945
TOTAL	182,184	320,945

Note 7
Other Long Term Liabilities

Advance from Patients	344,981	857,123		
Sundry Creditors for goods & expenses	124,508	73,838		
Other Liabilities	7,616,885	8,086,374	694,219	1,625,180
TOTAL		8,086,374		1,625,180

Current Liabilities
Note 8
TRADE PAYABLES

Sundry Creditors for goods & expenses	1,805,172	484,058		
Outstanding Liabilities for Goods and Services	9,095,419	10,900,591	10,240,589	10,724,647
TOTAL		10,900,591		10,724,647

Note 9
Other current Liabilities

Advance from Patients	2,145,391	1,744,479		
Current maturities of long term debt from Banks	-	1,370,792		
Provision for Taxation	189,967	1,269,059		
Other Payables	5,431,501	7,766,859	7,836,368	12,220,698
TOTAL		7,766,859		12,220,698

As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS

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CHIEF FINANCIAL OFFICER

Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

NOTES FORMING PART OF THE FINANCIAL STATEMENTS**FIXED ASSETS****Note 10**

Amt. in ₹

Fixed Assets	GROSS BLOCK			DEPRECIATION				Net Block	
	As on 01.04.2015	Additions During the year	Deduction During the year	As on 31.03.2016	As on 01.04.2015	Addition During the year	Deduction During the year	As on 31.03.2016	As on 31.03.2015
Land	31,554,566	-	5,065,406	26,489,160	-	-	-	26,489,160	31,554,566
Building	32,459,384	-	-	32,459,384	20,700,576	572,654	-	11,186,154	11,758,808
Plant & Equipment	65,490,739	3,857,267	2,235,023	67,112,983	46,199,747	4150502	2,100,005	18,862,739	19,290,992
Furniture & Fixtures	6,935,967	1,159,249	686,616	7,408,600	4,735,152	686,793	656,911	2,643,566	2,200,815
Vehicle	4,004,516	366,845	1,835,645	2,535,716	3,396,395	247,296	1,743,865	635,890	608,121
Computers	1,335,437	129,950	524,286	941,101	992,369	213,095	515,928	251,565	343,068
TOTAL	141,780,609	5,513,311	10,346,976	136,946,944	76,024,239	5,870,340	5,016,709	60,069,074	65,756,370
Previous Year	164,126,603	4,961,025	27,307,019	141,780,609	87,664,354	6,050,099	17,690,214	65,756,370	76,462,249

As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS

FOR AND ON BEHALF OF BOARD OF DIRECTORS

Sd/-
(DR.KARAN SHARMA)
DIRECTOR
DIN 01484050

Sd/-
(DR. SHAILENDRA SHARMA)
MANAGING DIRECTOR
DIN 00432070

Sd/-
(VIRENDRA BHURAT)
PARTNER
M.NO. 071964

Sd/-
(SHIV SHANKAR SHARMA)
COMPANY SECRETARY

Sd/-
(VIMAL KUMAR JOSHI)
CHIEF FINANCIAL OFFICER

Firm Registration No. 002803C
Place: Jaipur
Date: 14.05.2016

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
Amt. in ₹

Note 11	As at 31.03.2016	As at 31.03.2015
NON CURRENT INVESTMENTS		
(i) INVESTMENTS IN EQUITY INSTRUMENTS		
(a) UNQUOTED INVESTMENTS		
2000 Equity Shares of Kshitij Enterprises (P) Ltd. @ 100/- each fully paid up (Valued at cost)	200,000	200,000
2000 Equity Shares of Sharma Nursing Home & Bone Hospital (P) Ltd. @ 100/- each fully paid up (Valued at cost)	200,000	200,000
4000 Equity Shares of Sharma Hospitals (P) Ltd. @ 100/- each fully paid up (Valued at cost)	400,000	400,000
4000 Equity Shares of Gaurav Sharma Enterprises (P) Ltd. @ 100/- each fully paid up (Valued at cost)	400,000	400,000
Total	1,200,000	1,200,000
(b) QUOTED INVESTMENTS		
2,90,900 Equity Shares @10/- each of Ganpati Plast Fab. Ltd. Fully Paid up (Valued at cost or Market Value Whichever is Lower)	1,946,490	1,946,490
TOTAL	3,146,490	3,146,490

* **Aggregate Face Value of Quoted Share of Ganpati Plast Fab.Ltd. Is Rs.29.09 Lacs and are listed but market value is not available.**

* **Aggregate Face Value of Un-Quoted Shares is Rs.12 Lacs.**

* **Above corporate bodies are not subsidiary, associates or joint ventures of the company.**

**As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS**

FOR AND ON BEHALF OF BOARD OF DIRECTORS

**Sd/-
(DR.KARAN SHARMA)
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DIN 01484050**

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(SHIV SHANKAR SHARMA)
COMPANY SECRETARY**

**Sd/-
(VIMAL KUMAR JOSHI)
CHIEF FINANCIAL OFFICER**

Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

2015-2016

NOTES FORMING PART OF THE FINANCIAL STATEMENTS

Amt. in ₹

	As at 31.03.2016	As at 31.03.2015
Note 12		
Long Term Loans & Advances		
(Unsecured, Considered Good)		
Advance for Capital Expenditure	1,768,041	1,601,000
Security Deposit	1,309,287	1,359,287
Other Advances	1,825,341	2,244,189
TOTAL	<u>4,902,669</u>	<u>5,204,476</u>

Note 13

OTHER NON-CURRENT ASSETS

(Unsecured, Considered Good)

Advance to Staff	21,000	-
Imprest to Employees	6,000	-
Other Advances	95,788	101,238
Advance to Consultant Doctors	20,000	20,000
Pre-Operative Expenses	658,503	658,503
Deferred Revenue Expenditure	1,238,511	1,238,511
TOTAL	<u>2,039,802</u>	<u>2,018,252</u>

Note 14

INVENTORIES

(i) Spare Parts, Stores & Others	6,489,584	1,263,453
(Certified by Management and Valued at cost)		
TOTAL	<u>6,489,584</u>	<u>1,263,453</u>

Note 15

TRADE RECEIVABLES

(i) Sundry Debtors (Un-secured and considered good)

a) Outstanding for a period exceeding six months	16,249,233	12,878,083
b) Others	10,988,610	8,023,726
TOTAL	<u>27,237,843</u>	<u>20,901,809</u>

Amt. in ₹

	As at	As at
Note 16	31.03.2016	31.03.2015
CASH & CASH EQUIVALENTS		
(i) Cash on hand	1,033,972	994,320
(ii) Balances with Banks	507,817	78,329
TOTAL	<u>1,541,789</u>	<u>1,072,649</u>
Note 17		
SHORT TERM LOANS & ADVANCES		
(Un-secured and considered good)		
Other Advances	44,079,889	36,045,248
TOTAL	<u>44,079,889</u>	<u>36,045,248</u>
Note 18		
OTHER CURRENT ASSETS		
Advance to Consultant Doctors	-	155,432
Imprest to Employees	-	6,000
Advance to Staff	-	37,000
Other Receivables	1,479,220	7,296,855
Cenvat Credit Receivable	2,661,334	2,256,500
TOTAL	<u>4,140,554</u>	<u>9,751,787</u>

As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS

FOR AND ON BEHALF OF BOARD OF DIRECTORS

Sd/-
(DR. KARAN SHARMA)
DIRECTOR
DIN 01484050

Sd/-
(DR. SHAILENDRA SHARMA)
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M.NO. 071964

Sd/-
(SHIV SHANKAR SHARMA)
COMPANY SECRETARY

Sd/-
(VIMAL KUMAR JOSHI)
CHIEF FINANCIAL OFFICER

Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

2015-2016

NOTES FORMING PART OF THE FINANCIAL STATEMENTS

	As at 31.03.2016	Amt. in ₹ As at 31.03.2015
Note 19		
REVENUE FROM OPERATIONS		
PROFESSIONAL RECEIPTS		
Accommodation Charges	39,019,401	35,994,377
Admission Registration Charges	1,451,483	1,540,992
Cathlab Charges	15,080,084	11,742,684
Consultation Charges	14,535,054	14,311,443
CT Scan Charges	870,813	1,195,818
ECG Charges	239,007	215,798
ECHO Charges	1,641,165	1,155,056
Holter Charges	15,250	13,700
Investigation Charges	-	18,000
Lab Charges	12,991,520	12,045,544
Operation Charges	60,070,693	62,960,953
Other Miscellaneous Charges	21,040,106	17,142,371
Sonography Charges	1,549,572	1,661,944
TMT Charges	81,049	72,031
Tee Charges	-	5,000
X-Ray Charges	3,518,223	3,549,273
TOTAL	172,103,420	163,624,984

Note 20

OTHER INCOME

Conference Income(Orthopediac)	145,000	-
Miscellaneous Income	-	461,160
Sundry Creditors Written Back	-	294,047
Profit on sale of Fixed Assets	11,400	-
Professional Consultancy Charges	-	3,128,020
Rent Receivable	1,728,132	1,651,548
Interest Income	314,767	4,798
TOTAL	2,199,299	5,539,573

As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS

FOR AND ON BEHALF OF BOARD OF DIRECTORS

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CHIEF FINANCIAL OFFICER

Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
Amt. in ₹

	As at 31.03.2016	As at 31.03.2015
--	-----------------------------	-----------------------------

EMPLOYEES BENEFIT EXPENSES

Bonus A/c	1,219,434	247,961
Employers Contribution to E.S.I	659,753	795,560
Employers Cont. to P.F.	1,640,168	1,386,373
Gratuity	328,699	986,073
Expenditure incurred for patient care	9,415,376	9,023,001
PF Charges	186,930	183,186
Salary	35,755,870	36,819,921
Security Expenses	2,665,755	2,371,647
Staff Welfare Expenses	135,590	79,762
Office Expenses	101,629	218,740
Uniform Expenses	550,357	305,922
TOTAL	52,659,561	52,418,146

Note 22

Share of consultant	40,009,386	38,333,835
	40,009,386	38,333,835

Note 23
FINANCE COST
INTEREST

Interest on Line of Credit	4,442,821	7,466,239
Other Interest	9,421	16,628
TOTAL	4,452,242	7,482,867

**As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS**

FOR AND ON BEHALF OF BOARD OF DIRECTORS

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Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED

2015-2016

NOTES FORMING PART OF THE FINANCIAL STATEMENTS

	As at 31.03.2016	Amt. in ₹ As at 31.03.2015
Note 24		
OTHER EXPENSES		
OTHER EXPENSES		
Patient Food Expenses	1,053,918	1,032,141
Consultancy charges	405,413	62,000
D.G.Set Oil, Petrol & Diesel	376,624	331,004
Electricity & Water Charges	7,069,926	5,794,309
Insurance Charges	104,553	102,538
Repair & maintenance (other)	789,887	820,000
Repair & maintenance (P&M)	3,080,605	2,834,991
Repair & maintenance (Building)	1,390,355	729,505
Accommodation & Other Expenses A/c	7,749,766	4,601,447
Advertisement & Publicity Exp.	692,074	470,609
Audit Fees A/c	201,750	180,000
Internal Audit Fees	55,000	40,000
Bad Debts A/c	-	28,283
Bank Charges	113,446	88,245
Conveyance Expenses	118,379	103,005
C.T. Scane Expenses	857,164	1,027,360
Directors Sitting Fees	31,477	24,000
General Utility Items	760,491	791,076
Legal Expenses	908,196	431,617
Lease Rent of Plant & Machinery	594,800	-
Managerial Remuneration	2,400,000	2,400,000
Membership Fees A/c	233,485	218,974
Miscellaneous Expenses	136,127	374,249
Pathological Consumable Items	3,133,943	3,200,681
Pathological Expenses	3,126,697	3,408,285
Printing & Stationary	833,639	748,564
Rent Paid	-	7,395
Swachh Bharat Cess	8,083	-
Telephone, Postage & Telegram	476,249	547,124
Travelling Expenses	8,496	103,308
Urban Development Tax A/c	238,729	168,364
Vehicle Running & Maintenance	200,939	240,617
Washing Charges	718,541	700,643
X- Ray Film Consumed	628,044	696,156
Conference Fees	-	5,000
Conference Expenses (Orthopediac)	50,000	-
TOTAL	38,546,796	32,311,490

As per our report of even date
FOR GOPAL SHARMA & COMPANY
CHARTERED ACCOUNTANTS

FOR AND ON BEHALF OF BOARD OF DIRECTORS

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(VIMAL KUMAR JOSHI)
CHIEF FINANCIAL OFFICER

Firm Registration No. 002803C

Place: Jaipur

Date: 14.05.2016

SHARMA EAST INDIA HOSPITALS AND MEDICAL RESEARCH LTD
REGISTERED OFFICE: JAIPUR HOSPITAL, NEAR SMS STADIUM, LAL KOTHI
TONK ROAD, JAIPUR-302015
CIN: L85110RJ1989PLC005206

(E-Mail: jaipurhospital_lalkothi@rediffmail.com, Website: www.jaipurhospital.co.in)

Proxy Form

(Pursuant to Section 105(6) of the Companies Act, 2013 and Rule 19(3) of the Companies (Management and Administration) Rules, 2014)

Name of the member(s): _____

Registered Address: _____

E-mail ID: _____ Folio No/Client ID No. _____

DP ID: _____

I/We, being the member(s) of Sharma East India Hospitals & Medical Research Limited, holding _____ no. of shares of the above named company, hereby appoint

- | | |
|------------------|-----------------|
| 1. Name: _____ | Address: _____ |
| E-mail ID: _____ | Signature _____ |
| or failing him, | |
| 2. Name: _____ | Address: _____ |
| E-mail ID: _____ | Signature _____ |
| or failing him, | |
| 3. Name: _____ | Address: _____ |
| E-mail ID: _____ | Signature _____ |

as my/our proxy to attend and vote (on a poll) for me/us and on my/our behalf at the Twenty Seventh Annual General Meeting of the company, to be held on Saturday, September 24, 2016 at 3.00 PM at Sharma Agriculture Farm, Takia Ki Chowki, Kalwad Road, Jhotwara, Jaipur and at any adjournment thereof in respect of such resolutions as indicated below:

Resolution No.:

1 Adoption of Financial Statements, Report of Board of Directors and Auditors thereon for the year ended March 31, 2016.

2 Re-appointment of Mrs. Maya Sharma as a Director liable to retire by rotation.

3 Appointment of Auditors.

Signed this _____ day of _____ 2016

Signature of shareholder..... Signature of Proxy holder (s).....

Note: This form of proxy in order to be effective should be duly completed and deposited at the registered office of the Company, not less than 48 hours before the commencement of the Meeting.

Tear Here

Affix
1 Rupee
Revenue
Stamp

SHARMA EAST INDIA HOSPITALS AND MEDICAL RESEARCH LTD
REGISTERED OFFICE: JAIPUR HOSPITAL, NEAR SMS STADIUM, LAL KOTHI
TONK ROAD, JAIPUR-302015
CIN: L85110RJ1989PLC005206

(E-Mail: jaipurhospital_lalkothi@rediffmail.com, Website: www.jaipurhospital.co.in)

ATTENDANCE SLIP

(To be handed over at the entrance of the Meeting hall)

27th ANNUAL GENERAL MEETING - SATURDAY, SEPTEMBER 24, 2016 AT 3.00 P.M.

At Sharma Agriculture Farm, Takia Ki Chowki, Kalwad Road, Jhotwara, Jaipur.

Folio No. DP ID No. Client ID No.

Name of the member (In BLOCK LETTERS): Signature.....

Name of Proxyholder (In BLOCK LETTERS): Signature.....

I certify that I am a Member / Proxy / Authorised Representative for the member of the Company.

I hereby record my presence at the 27th Annual General Meeting of the Company.

1. Only Member / Proxy holder can attend the Meeting.

2. Member / Proxy holder should bring his/her copy of the Annual Report for the reference at the Meeting.

If undelivered Please Return to :

**SHARMA EAST INDIA HOSPITALS AND
MEDICAL RESEARCH LIMITED
JAIPUR HOSPITAL**

LAL KOTHI, NEAR S.M.S. STADIUM,
TONK ROAD, JAIPUR - 302 015